NATIONAL BANK OF ROMANIA

Inflation Report

August 2026

Year XXII, No. 85

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NOTES

Some of the data are still provisional and will be updated as appropriate in the subsequent issues.

The source of statistical data used in charts and tables was mentioned only when they were provided by other institutions.

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National Bank of Romania
25, Lipscani St., 030031 Bucharest – Romania
Phone: 40 21/315 27 50

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Foreword

The primary objective of the National Bank of Romania is to ensure and maintain price stability, with monetary policy being implemented under inflation targeting starting August 2005. In this context, active communication of the monetary authority to the public at large plays a key role, and the major tool that the central bank uses to this end is the *Inflation Report*.

Apart from analysing the most recent economic, monetary and financial developments and explaining the rationale and the manner of implementing monetary policy in the previous period, the *Report* provides the National Bank of Romania's quarterly projection on inflation over an eight-quarter horizon, including the associated uncertainties and risks, and an assessment of the recent and future macroeconomic context from the perspective of the monetary policy decision.

By drafting and publishing the *Inflation Report* on a quarterly basis, in accordance with the frequency of the forecasting cycle, the National Bank of Romania aims to provide all those interested with the opportunity of best comprehending its analytical framework and hence the reasons underlying the monetary policy decisions. Securing a transparent and predictable monetary policy is meant to strengthen monetary policy credibility and thus help achieve an effective anchoring of inflation expectations and lower the costs associated with ensuring and maintaining price stability.

The analysis in the *Inflation Report* is based upon the statistical data available at the date of drafting the *Report*, so that the reference periods of indicators herein may vary.

The *Inflation Report* was approved by the NBR Board in its meeting of 10 August 2026 and the cut-off date for the data underlying the macroeconomic projection was 28 July 2026.

All issues of this publication are available in hard copy, as well as on the NBR's website at http://www.bnr.ro.

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Summary

Developments in inflation and its determinants

The annual CPI inflation rate reached 10.42 percent in June 2026, i.e. 0.55 percentage points above the March level. The pick-up reflected mainly the effects of the conflict in the Middle East, which passed through via higher and volatile energy prices, as well as a number of domestic factors, including the adjustment of some administered prices and the depreciation of the leu against the major currencies. An opposite influence had the drop in consumer demand and the overall favourable developments in agri-food commodity prices. Behind the rise in the 12-month inflation rate in Q2 stood mainly the energy component. The annual inflation rate for fuel prices picked up from 12.9 percent in March to 19.2 percent in May before moderating to 16 percent in June. The dynamics of electricity and natural gas prices gained momentum, primarily due to base effects. Upward pressures on electricity prices resurged amid elevated temperatures in June, whereas in the case of natural gas, some effects came from the commodity price hikes associated with the crisis in the Middle East. The support scheme helped contain the direct impact on households, without, however, suppressing the indirect pressures via firms' costs. The average annual inflation rate continued to rise in 2026 Q2. In June it amounted to 9.8 percent based on the national methodology and to 8.6 percent according to the harmonised index, i.e. up 1.3 percentage points and 1.0 percentage points versus end-Q1.

In turn, the annual adjusted CORE2 inflation rate stopped its downward trend in 2026 Q2, rising to 8.3 percent in June, i.e. 0.1 percentage points above the March level. Developments by subgroup, however, were mixed. The annual dynamics of processed food prices remained on a downward path, slowing to 7.4 percent in June from 7.9 percent in March. Behind this stood the favourable conditions in agri-food markets and the significant adjustment in unit labour costs in food industry. Conversely, the growth rate of non-food prices went up mildly to 7.1 percent in June from 6.9 percent in March, mainly owing to the build-up of pressures along value chains following the hike in the prices of some commodities and imported inputs, in the context of the Middle East conflict, but also of the microchip crisis. Market services prices posted the most pronounced acceleration, their annual dynamics reaching 11.5 percent in June from 10.5 percent in March. This reflected chiefly the depreciation of the leu, given the high share of prices expressed in euro, the pick-up in energy costs, as well as some specific pressures in certain consumer demand segments. Overall, services continued to be the most persistent component of core inflation.

The annual rate of change of unit labour costs economy-wide rose to 1.9 percent in 2026 Q1 (against 0.3 percent in the previous quarter), amid a drop in annual dynamics of labour productivity (to 0.1 percent from 2.8 percent in the previous quarter) and the further positive growth rate of the compensation per employee (2 percent), albeit slower than in the previous quarter. In industry, the annual rate of change of unit

wage costs moderated to 4.1 percent (compared to 7.8 percent in 2025 Q4) on account of both the softer wage dynamics and layoffs. However, the data for the April-May period point to a faster annual growth rate (6.4 percent) amid the significant contraction in industrial output (to levels comparable to those seen during the pandemic), much stronger than the adjustment in labour costs.

Monetary policy since the release of the previous *Inflation Report*

In its meeting of 15 May 2026, the NBR Board decided to keep the monetary policy rate at 6.50 percent per annum. The interest rates on standing facilities were also left unchanged, i.e. the deposit facility rate at 5.50 percent per annum and the lending (Lombard) facility rate at 7.50 percent per annum. In March 2026 the annual inflation rate had stopped its slow downward trend, rising to 9.87 percent from 9.31 percent in February, following the significant hike in fuel prices in the context of the Middle East conflict, which had been counterbalanced to a small extent by the minor decreases in the dynamics of energy and administered prices, as well as in core inflation. In 2026 Q1 as a whole, the 12-month inflation rate had thus risen mildly, given that the influences coming over that period from the pick-up in fuel prices and the moderate renewed acceleration in the dynamics of VFE prices and tobacco product prices had somewhat outweighed those stemming from the notable drop in natural gas and electricity prices, as well as from the slight deceleration in core inflation. The annual adjusted CORE2 inflation rate had entered a mildly downward path at the beginning of 2026, falling to 8.2 percent in March from 8.5 percent in December 2025, under the impact of disinflationary base effects and the decrease in the prices of some agri-food commodities and in the dynamics of import prices, but also amid weaker consumer demand.

Heightened uncertainties were associated, in the domestic political environment, with potential future measures to continue budget consolidation beyond the current year in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure. High uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, arose also from the Middle East conflict and the global energy crisis, via the effects they might exert, through several channels, on consumer purchasing power, as well as on firms' activity and profits, *inter alia* by affecting the dynamics of economies and inflation in Europe/worldwide and the risk perception towards the region, with an impact on financing costs. At that juncture, the absorption and use to the maximum of EU funds, especially those under the NRRP, were essential for partly counterbalancing the contractionary effects of budget consolidation and of the Middle East conflict, as well as for carrying out the necessary structural reforms, energy transition included. The ECB's and the Fed's monetary policy decisions, as well as the stance of central banks in the region, were also relevant.

Subsequently, the 12-month inflation rate had continued to pick up during the first two months of 2026 Q2, climbing to 10.85 percent in May. The advance had been driven mainly by the significant increases, over that period, in the dynamics of natural gas, fuel and administered prices, under the impact of base effects and the rise in oil

prices, as well as following a notable hike in rents for state-owned housing. At the same time, the annual adjusted CORE2 inflation rate had seen a halt in the slow downward trend it had embarked on at the onset of 2026, rising mildly in both months to reach 8.5 percent in May 2026 from 8.2 percent in March, as a result of the influences from the indirect effects of costlier fuels and from the increases in the EUR/RON exchange and in the dynamics of some import prices, also amid high short-term inflation expectations. In turn, economic activity had stalled in 2026 Q1, after contracting by 1.9 percent in 2025 Q4 (quarterly change), which made it likely for the aggregate demand deficit to widen moderately over that period, in line with expectations. In 2026 Q1, economic activity had decreased by 1.2 percent versus the same year-ago period, after a 0.2 percent advance in 2025 Q4, given that household consumption had posted a stronger decline, in annual terms, while gross fixed capital formation growth had slowed down, albeit remaining robust. At the same time, net exports had had a lower expansionary effect in 2026 Q1, due to the narrowing of the positive differential between the annual dynamics of exports of goods and services and those of imports, in terms of volume, as both had decreased against the previous quarter. Consequently, over that period, the trade deficit had reported a lower contraction in annual terms, whereas the current account deficit had seen a faster year-on-year decline amid the improvement in the evolution of income balances.

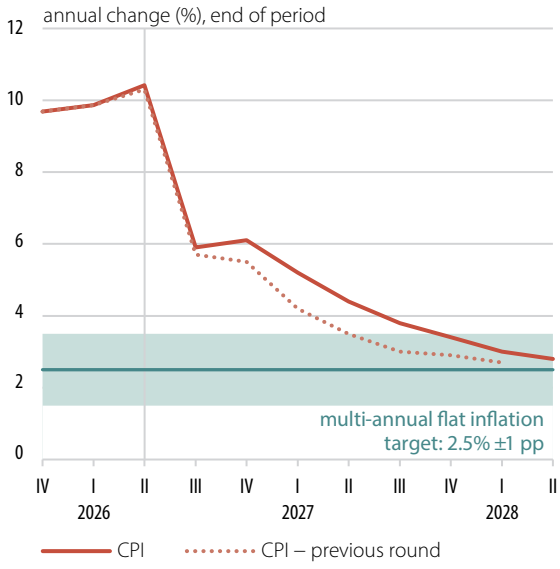
At the time of the NBR Board meeting of 8 July 2026, the assessments indicated the prospects for the annual inflation rate to shrink slightly in June, before posting a substantial decline in 2026 Q3, as previously anticipated, amid the fade-out of the direct effects from the removal of the electricity price cap and the increases in VAT rates and excise duties. At the same time, increasingly obvious underlying disinflationary pressures were expected over the longer horizon, primarily from aggregate demand, amid the budget correction initiated in 2025 and continued in 2026 – with favourable implications for inflation expectations as well –, conducive to the adjustment of the current account deficit.

Based on the data and assessments available at that time, as well as in light of the very high uncertainty, the NBR Board decided in the meeting of 8 July 2026 to keep the monetary policy rate at 6.50 percent per annum. Moreover, it decided to leave unchanged the deposit facility rate at 5.50 percent per annum and the lending (Lombard) facility rate at 7.50 percent per annum. Furthermore, the NBR Board decided to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

Inflation outlook

The outlook for the global economy remains marked by high uncertainty, fuelled mainly by the economic consequences of the Middle East conflict and energy market volatility. A favourable influence is coming from the robust dynamics of investment in technology, underpinned *inter alia* by the development in and expansion of the use of artificial intelligence, which partly mitigates the adverse effects of the energy shock. According to the most recent IMF assessments, the global economy is expected to grow by 3 percent in 2026 and by 3.4 percent next year. This hints at a temporary slowdown this year, followed by a recovery, yet developments are still uneven:

Inflation forecast



Source: NIS, NBR projection

energy-importing economies are more exposed to detrimental effects, while the economies better integrated into technology chains benefit more from the investment momentum relating to artificial intelligence.

At the same time, global disinflation was temporarily discontinued amid rising energy and food prices. The baseline scenarios of major international institutions envisage a gradual transit normalisation through the Strait of Hormuz and an ensuing decline in energy prices, in line with the profile of futures curves. However, this assumption remains vulnerable, as a renewed conflict escalation, lingering logistical disruptions or the slow recovery of production, transport and refining capacities could prolong the impact of the energy shock.

Against this background, the NBR's updated baseline scenario outlines for 2026 a less favourable macroeconomic performance than previously anticipated, characterised by a higher inflation rate and somewhat weaker GDP dynamics.

The annual CPI inflation rate is foreseen to stand at 6.1 percent at end-2026 and 3.4 percent at end-2027, 0.6 percentage points and 0.5 percentage points above the previously forecasted levels. At the end of 2026 Q2, inflation rate came in at 10.42 percent, close to the 10.3 percent level envisaged in the May 2026 *Inflation Report*. A substantial correction is further expected for 2026 Q3, to approximately 5.9 percent, due largely to the fading statistical effects from last year's increases in VAT rates, excise duties and energy prices. Throughout the projection interval, the revised path of inflation is foreseen, however, to run above that in the previous round. The differential rises temporarily in early 2027, to about 1 percentage point, before narrowing gradually. The upward revision reflects mostly a higher path of the adjusted CORE2 inflation, owing also to the leu's depreciation in May, which fed through to the prices of imported goods and to some services prices that are expressed in foreign currency. In the same direction have acted the hikes in some administered prices, especially rents for state-owned housing, as well as the upward reassessment of natural gas prices amid higher storage and transport prices in April 2026 and ahead of price increases in the next cold season. Conversely, the more favourable developments in prices of vegetables, fruit and eggs, together with the updated path of oil prices being lower than that envisaged in the previous round, partly mitigate the upward revisions of these components.

The annual adjusted CORE2 inflation rate is forecasted to fall to 5.4 percent at end-2026, 3.1 percent in December 2027 and 2.3 percent at mid-2028. The decrease will be more pronounced in 2026 Q3, when the indirect tax hikes introduced a year ago drop out of the indicator's calculation. In the first part of the projection interval, the path is influenced by the leu's depreciation versus the euro, the increase in telecommunications

prices and compulsory motor third-party liability insurance tariffs, the removal of the cap on the mark-up on basic food products, and the indirect effects of the energy shock. Throughout 2026, disinflation is supported by the fiscal consolidation initiated as early as 2025 and the slowing wage cost dynamics, and from Q3 onwards also by the stronger alleviation in inflation expectations. Conversely, pressures persist in certain segments of services and, over the medium term, the disinflationary influence of aggregate demand abates, as the negative output gap closes at a brisker pace. Compared to the previous *Inflation Report*, the updated values have been adjusted upwards by 0.6 percentage points for end-2026 and end-2027, and by 0.3 percentage points for March 2028.

The aggregate demand deficit stays high and continues to put disinflationary pressure on the adjusted CORE2 inflation throughout the projection interval. However, the pass-through of this influence is gradual and does not fully offset, over the short term, the pressures stemming from the leu's depreciation, the increase in costs, the persistence of services inflation, and the still high inflation expectations.

Beyond the persistence of the demand deficit, the average annual dynamics of economic activity in 2026 are saddled with a strongly unfavourable carry-over effect induced by the contraction in activity in late 2025. Adding to this are the effects of the ongoing fiscal consolidation and those related to the Middle East conflict. Against this background, economic growth this year is foreseen to be significantly lower than in 2025, although economic activity is expected to gradually recover in the course of the year.

Domestic demand is anticipated to witness mixed developments. Consumption is severely hurt in 2026 by the contraction in real disposable income and the tight fiscal policy, being the main drag on economic activity. Conversely, investment continues to fare well and support economic activity, thanks to the projects already under way and the absorption of EU funds. However, its prospects are confined by the NRRP renegotiation and the cut in loan component, which have diminished the resources available to fund additional projects. In parallel, during this year, the weakness of consumption helps moderate imports and, implicitly, improve the contribution of net exports.

In 2027, economic activity is expected to gather some momentum amid the moderation of inflation and the gradual restoration of real incomes. The lagged, albeit persistent, pass-through of the leu's depreciation in May 2026 is expected to make an additional favourable contribution by improving external competitiveness and upholding net exports. Nevertheless, the recovery path will further hinge on investment performance, which is in turn contingent on the absorption of EU funds and the rebound in foreign demand.

Under these conditions, the current account deficit is projected to see a gradual correction over the medium term, from 7.9 percent of GDP in 2025. The magnitude of the adjustment will depend primarily on further fiscal consolidation, especially on the pace of cutting the fiscal deficit. Data for January through May 2026 already point to an improvement in the current account deficit compared with the same year-ago

period, mainly on the back of a better trade balance performance amid flat imports and relatively favourable export dynamics. However, the adjustment tempo could be slowed by costlier energy and chemicals, fertilisers included. For some categories of products with a large share in imports, price increases have already depressed demand and import volumes, but the price effect induced by the energy crisis prevailed, keeping the value of imports elevated and causing the terms of trade to worsen. As from 2027, the commissioning of the Neptun Deep block appears set to marginally help the external balance improve by boosting natural gas exports and containing the need for imports to cover domestic consumption.

The NBR's monetary policy stance aims to bring the annual inflation rate back in line with the 2.5 percent ±1 percentage point flat target on a lasting basis, *inter alia* via the anchoring of inflation expectations over the medium term, in a manner conducive to achieving sustainable economic growth.

Even though some of the risks highlighted in the previous *Report* have materialised since then, the balance of risks to inflation is assessed as remaining prevailingly tilted to the upside. The main risks and uncertainties arise from geopolitical and energy-related developments, the ongoing fiscal consolidation and the ending of the NRRP, changes in the sovereign risk premium and, implicitly, in financing conditions, as well as the intensity of the pass-through of higher costs to consumer prices, core inflation included.

External risks have amplified amid the fragility of ceasefire agreements in the Middle East and, recently, the spreading of tensions to the Red Sea. A potential simultaneous disruption of traffic through the Strait of Hormuz and the Strait of Bab el-Mandeb would significantly confine alternative transport routes and could trigger broader and more persistent effects on inflation than those embedded in the baseline scenario. Even assuming a resumption of maritime traffic, the prices of oil and refined products could stick to high levels if energy infrastructure, refining and transport capacities or insurance services were to be affected further.

Energy-related vulnerabilities do not concern crude oil availability alone. Refining capacity constraints, low inventories and possible disruptions in supply from Kazakhstan or the Gulf could keep motor fuel prices under pressure. Risks are higher for diesel, which holds a large share in domestic consumption, is more dependent on imports and, in particular, is more exposed to Gulf supplies. Potential supply squeezes, logistical hardships or increases in refining margins would feed through both directly, to pump prices, and indirectly, through steeper costs in transport, agriculture and industry.

Significant uncertainties linger also in the natural gas market, where prices have recently resumed the upward path. Diversification of supply sources, expansion of imported liquefied natural gas capacities across Europe and stock levels help alleviate vulnerabilities, yet without rooting them out. As for Romania, the magnitude of risks will largely depend on the market conditions prevailing when the household consumer protection scheme expires in April 2027. On a positive note, the commissioning of the Neptun Deep block could boost domestic supply and gradually decrease domestic

price sensitivity to international market developments. Until these effects materialise, the further elevated external prices could entail higher price adjustments than those envisaged in the baseline scenario.

On the domestic front, risks are primarily associated with the implementation of medium-term fiscal consolidation and the fulfilment of the NRRP targets by the end of August 2026. The delay or failure to fulfil certain milestones could depress external transfers and require financing from local sources for the projects already in advanced implementation stages, affecting the general government deficit. Furthermore, the persistence of political tensions could delay the adoption and implementation of adjustment measures, weaken the coherence of economic policy decisions and impede the efficient use of EU funds.

A slower-than-planned fiscal consolidation could temporarily underpin domestic demand, but would extend inflationary pressures and widen fiscal and external imbalances, thereby increasing public debt and financing requirements. Conversely, swifter adjustment would mitigate these vulnerabilities and uphold disinflation, at the expense of more sluggish economic activity over the near term.

Financial conditions have improved compared with the tension-ridden episodes seen in spring, but yields on government securities and the risk premium remain above the levels recorded at the beginning of the year. A worsening of the fiscal outlook or a further heightening of geopolitical tensions could increase funding costs, put pressure on the exchange rate and delay investment decisions.

Moreover, risks persist in relation to administered price adjustments and possible indirect tax changes. Looking further ahead, the introduction of the ETS2 in 2028 could put additional pressure on motor fuel prices and households' heating costs. The size of the effect will depend on the price of allowances, the extent to which costs will be passed on to consumers and the possible adoption of compensation measures, as also highlighted in recent analyses by other central banks in the region.

Persistent wage pressures and still elevated inflation expectations in the short term could foster a broader pass-through of cost shocks, particularly in the services sector. Nevertheless, these influences are partly cushioned by the demand deficit, the moderation in consumption and a gradual easing of labour market tensions, which limit both firms' capacity to fully pass on cost increases to final prices and the pressures for sizeable pay rises.

In addition, weather conditions and the volume of agricultural crops could make food prices veer off significantly from the trajectory in the baseline scenario.

Overall, inflation developments will chiefly be contingent on the persistence of external shocks, the coherence of the policy mix, the credibility of fiscal consolidation and the continued anchoring of medium-term inflation expectations.

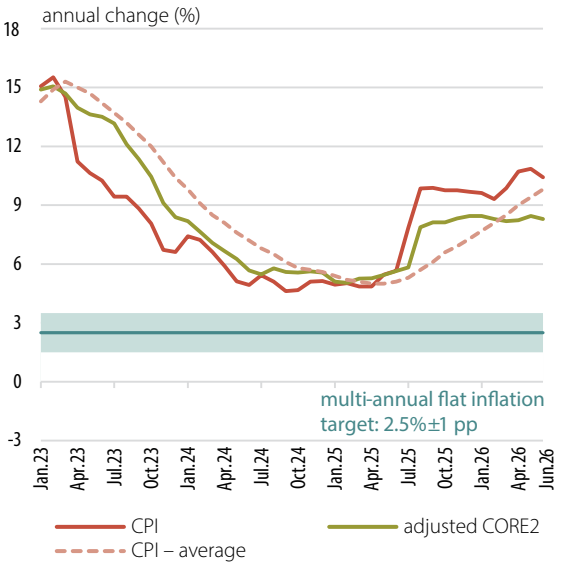
Monetary policy decision

Given the recent evolution and the outlook of inflation, as well as the risks and uncertainties associated with the new forecasts, the NBR Board decided in its meeting of 10 August 2026 to keep the monetary policy rate at 6.50 percent. Moreover, it decided to leave unchanged the lending (Lombard) facility rate at 7.50 percent and the deposit facility rate at 5.50 percent. Furthermore, the NBR Board decided to maintain the current levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

1. Inflation developments

At end-2026 Q2, the annual CPI inflation rate was 10.42 percent, 0.55 percentage points above the March level. The protraction of the Middle East conflict was a key explanatory factor for the uptrend and the higher volatility of the indicator in the period under review. Apart from geopolitical developments, a number of domestic factors – the substantial adjustment of some administered prices, the depreciation of the leu – also exerted inflationary pressures, in an environment in which inflation expectations remained elevated, even though they were corrected towards quarter-end. Nonetheless, the weakness in demand contributed to mitigating the pass-through of supply-side shocks, while the broadly favourable context in agri-food commodity markets had a disinflationary impact as well. Against this background, the annual adjusted CORE2 inflation rate rose marginally, by just 0.1 percentage points from end-Q1 to 8.3 percent in June 2026 (Chart 1.1).

Chart 1.1. Inflation developments



Source: NIS, NBR

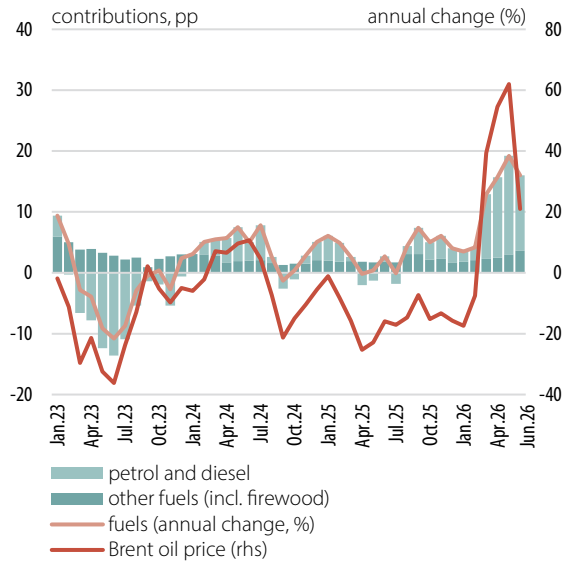
Petrol and diesel prices have directly and quickly reflected the effects of the war in the Persian Gulf, further increasing significantly in April-May 2026. However, the pass-through of oil market developments was limited by some government measures taken in this regard at end-March[1]. Apart from the direct inflationary influence, motor fuel prices made the annual inflation rate more volatile, causing it to climb to 10.85 percent in May (+1 percentage point from March) before declining to 10.42 percent in June, once with the signing of the US–Iran Memorandum of Understanding on the cessation of conflict[2]. In addition, the hike in energy commodity prices has prompted price rises for other fuels (such as liquefied natural gas) too. The annual inflation rate for fuel prices picked up from 12.9 percent in March to 19.2 percent in May before moderating to 16.0 percent in June (Chart 1.2).

The annual dynamics of electricity and natural gas prices gained momentum in the period under review (from 29.1 percent in March to 37.2 percent in June), primarily due to a base effect (larger negative monthly changes in the same year-ago period).

1 The cap on the motor fuel mark-up at its average 2025 level across the entire production and distribution chain and the cut in the excise duty on diesel fuel by bani 30 per litre.

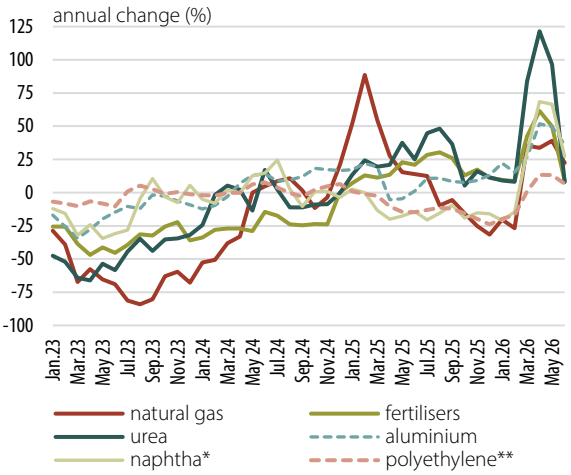
2 Afterwards, the declarations and subsequent actions of the two countries voided the agreement, oil prices moving up and down frequently, depending on the said factors.

Chart 1.2. Crude oil and fuel prices



Source: NIS, Bloomberg, NBR calculations

Chart 1.3. Other commodity prices



*) Naphtha is a basic petroleum product used for manufacturing plastic products, synthetic fibres, some chemical products, etc.

**) Prices of polyethylene refer to low-density polyethylene used for flexible packaging (grocery bags, garbage bags, films, containers).

Source: Bloomberg, World Bank, NBR calculations

However, the increasing demand in June, driven by temperatures exceeding the multiannual median, with intense heat waves, pushed the average electricity price higher (after eight months of consecutive declines). Even though the conflict in the Persian Gulf led to surges in natural gas prices as well, these developments did not affect prices for household consumers directly, support measures being extended until end-March 2027[3]. Nevertheless, given the liberalisation of natural gas prices for non-household consumers as of April 2026, the marked rise in natural gas wholesale prices is an indirect source of pressure on consumer prices via costs.

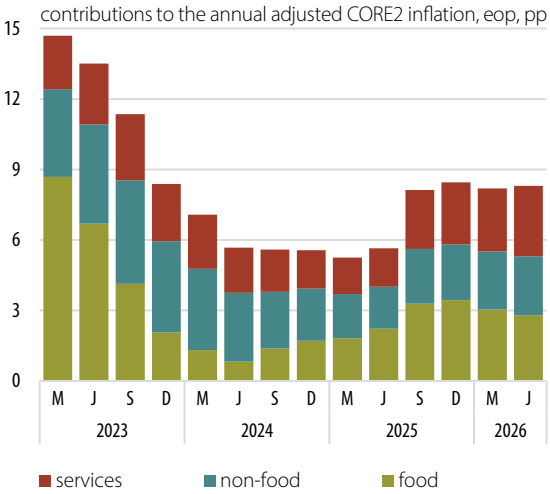
Looking at exogenous components, the step-up in the annual CPI inflation rate in Q2 was driven by a particular change in administered prices as well, namely the update of rents for state-owned housing with the cumulative inflation rate since 2007 (the time of the last indexation). This decision resulted in an approximately 140 percent positive monthly change of this subcomponent in April, with a 0.3 percentage point contribution to the pick-up in the annual CPI inflation rate.

The Middle East conflict also impacted other commodity markets (fertilisers, industrial metals, polyethylene and plastic derivatives), leading to the build-up of pressures along value added chains for some goods included in core inflation (Chart 1.3). Behind the increase in these costs also stood the depreciation of the leu against the major currencies in May, on the back of the political crisis triggered by the passing of the no-confidence motion against the government. The two factors contributed to the halt in the slight downtrend that core inflation had embarked upon at the beginning of 2026, following the drop in consumer demand. The annual adjusted CORE2 inflation rate was 8.3 percent in June, up 0.1 percentage points from the level seen in March and down 0.2 percentage points from that in December 2025 (Chart 1.4).

The pass-through of the hike in commodity costs was visible for some non-food items included in core inflation (household appliances, electronic products, hygiene products

3 The natural gas price capping scheme for households, which was to expire at end-Q1, was extended for another 12 months. It currently sets a lower cap on the purchase price for natural gas from domestic producers, i.e. lei 110/MWh (from lei 120/MWh in the previous version).

Chart 1.4. Adjusted CORE2 inflation components



Note: Contributions include VAT rate changes.

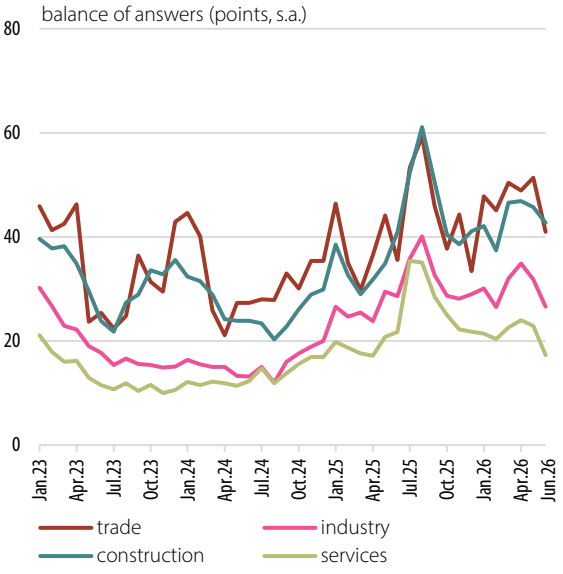
Source: NIS, NBR calculations

and cosmetics); in fact, this segment is also faced with a range of different pressures (for instance, the microchip crisis that hit consumer electronics). Thus, the annual inflation rate for the non-food sub-group added 0.2 percentage points during Q2, to 7.1 percent in June.

Market services were the main category that was affected by the weakening of the domestic currency, as the prices of some services (telephony, TV subscriptions) are expressed in EUR. To a lower extent, the prices of market services also responded to the rise in fuel prices (particularly for transport services) or to the specific increase in demand for certain categories – repair services are a case in point, the demand for repair work growing as consumers adapt to the worsening of their financial situation and shift to more accessible alternatives to avoid replacing damaged items with new ones. On aggregate, the annual rate of change of market services prices went up by 1.1 percentage points in 2026 Q2, to 11.5 percent at quarter-end.

Unlike the other two components of core inflation, the annual dynamics of processed food prices followed a disinflationary path in Q2, slowing to 7.4 percent in June (from 7.9 percent in March). The deceleration was supported by the broadly benign conditions in agri-food markets and the significantly slower pace of increase of unit labour costs in the food industry in the current year than in the previous one (2.3 percent annual growth, on average, in January-May 2026 versus approximately 20 percent in 2025[4]). The annual rate of change of volatile food prices also posted a disinflation trend in the period under review, favoured by the local plentiful harvest of fruit and vegetables, falling into negative territory in June (-1.1 percent against 6.6 percent in March).

Chart 1.5. Expectations on price developments



Source: EC-DG ECFIN

The short-term expectations on price developments of economic agents in all sectors increased March through May, most likely in response to the external and domestic context surrounded by elevated uncertainty, before easing subsequently, yet remaining high (Chart 1.5). Financial analysts' expectations on the inflation rate one year ahead

4 Also because of the base effect associated with the January 2025 removal of the tax breaks previously benefiting employees in the food industry and with some companies' decision to partly make up for employees' net wage decrease by increasing the gross wage.

followed a similar path, whereas those at the two-year horizon stayed inside the variation band of the flat target, close to the level posted in March (3.20 percent in June), indicating that analysts take into account a fading-out of effects of geopolitical tensions over the longer term.

The average annual inflation rate continued to rise in 2026 Q2 too, with the indicator calculated based on the national methodology reaching 9.8 percent in June and that calculated in accordance with the HICP structure going up to 8.6 percent (+1.3 percentage points and +1.0 percentage point respectively compared to the end of the previous quarter). Thus, the gap with the EU average widened to 6.0 percentage points.

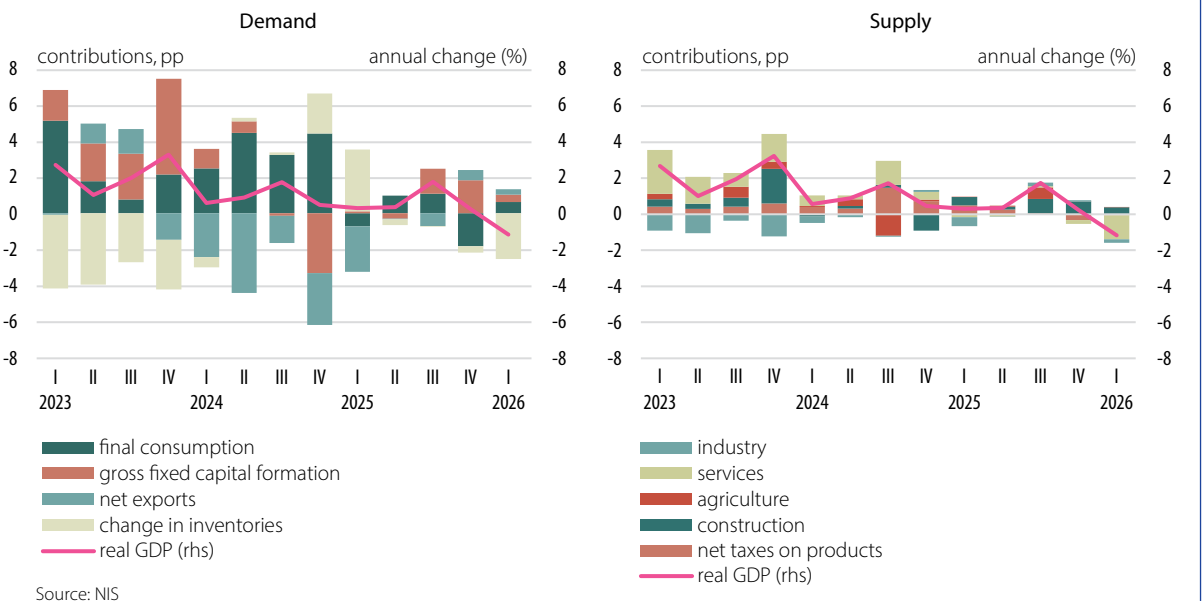
At end-2026 Q2, the annual CPI inflation rate stood 0.12 percentage points above the forecast in the May 2026 *Inflation Report*. This difference was attributable to the unforeseen rise in rents for state-owned housing, but also to the faster dynamics of core inflation, amid the indirect effects of the energy market tensions caused by the US-Iran conflict and the unexpected depreciation of the domestic currency versus the major currencies in May.

2. Economic developments

1. Demand and supply

In 2026 Q1, economic activity was further modest, the real GDP decreasing by 1.2 percent in annual terms[5], as a result of the GVA reduction in industry and services (-1.3 percent and -2 percent respectively). Construction was the only sector where the GVA increase (7.9 percent) moderated this unfavourable trend, whereas agriculture made a nil contribution. On the demand side, the economic contraction was driven by private consumption; investment and exports continued to post positive rates of increase, albeit more subdued than those recorded in 2025 Q4. These developments also led to a slower growth pace of imports of goods and services, so that the contribution of net external demand to GDP dynamics remained positive (Chart 2.1).

Chart 2.1. Contributions to economic growth



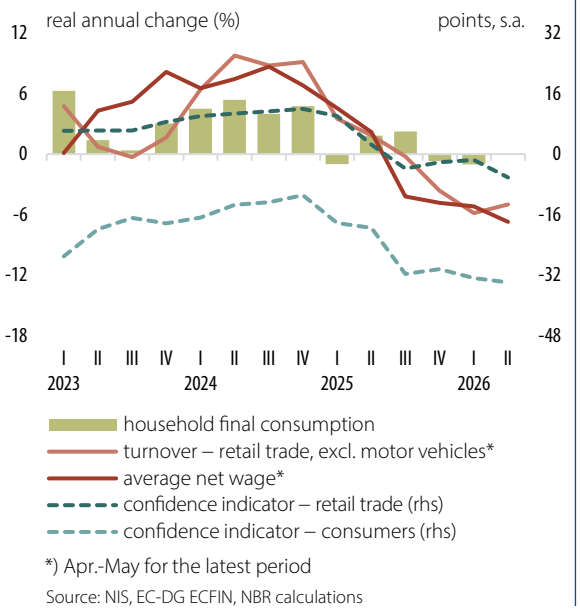
Source: NIS

In 2026 Q1, household consumption continued to fare worse, with the annual dynamics going deeper into negative territory (to -1 percent), due largely to the erosion of purchasing power and the higher unemployment rate, concurrently with a more prudent consumer behaviour, amid the heightened uncertainty in the economy. Under the circumstances, trade declined further, the annual dynamics reaching -5.9 percent.

5 In this section, the analysis of annual GDP dynamics relies on the volume series expressed in the prices of the corresponding quarter of the previous year.

This evolution was visible for most groups of goods, with sales of do-it-yourself products and furnishings, as well as clothing and footwear posting larger annual declines, i.e. down by approximately 11 percent in both cases. Conversely, online purchases expanded slightly (by 1.4 percent), due probably to the cost advantages usually offered by the online channel in comparison to the traditional one. The tighter family budgets also weighed on the demand for recreational activities, which witnessed a sharper contraction (to -9.5 percent), a trend that would probably persist in the period ahead, given the worsening of the confidence indicator for accommodation and food service activities and other recreational activities in Q2 (Chart 2.2).

Chart 2.2. Household consumption



*) Apr.-May for the latest period

Source: NIS, EC-DG ECFIN, NBR calculations

In the immediately forthcoming period, the annual dynamics of household consumption are little likely to see a rebound, a relevant hint in this respect coming from households' confidence indicator, which stood in April-June 2026 at a level similar to that recorded in the previous quarter (-33.9 points). Moreover, households' real income is anticipated to stay on a downward path, while demand for consumer credit will probably be insufficient to lead to an annual rise in real flows[6]. Trade data in April-May 2026 indicate the persistence of a significant negative rate of change (-5 percent in annual terms), the confidence indicator among retailers mirroring rather pessimistic prospects (deterioration to -6.2 points in April-June).

In 2026 Q1, budget execution further improved as compared to the same year-earlier period, leading to a deficit of lei 21.1 billion (1.0 percent of GDP), i.e. less than half of that recorded in 2025 Q1 (lei 43.7 billion or 2.3 percent of GDP).

Compared to the closing quarter of 2025[7], the budget deficit also narrowed more than in the first three months of 2025. This contraction resulted from the substantial decrease in total budget spending[8], mainly on account of developments in spending for projects financed from non-repayable external funds[9] and capital expenditure[10], to which added the effects of lower spending on goods and services and other transfers.

6 Actual data for April-May confirm these prospects – as compared to Q1, the annual dynamics of real net wage went deeper into negative territory (to -6.7 percent), while the volume of new consumer credit, excluding renegotiated loans, dropped by approximately 14 percent as against the same year-ago period.

7 In 2025 Q4, the budget deficit amounted to lei 43.6 billion (2.3 percent of GDP).

8 Under the circumstances, the real annual growth rate of total budget expenditure fell significantly into negative territory, i.e. to -11.3 percent from 1.5 percent in 2025 Q4.

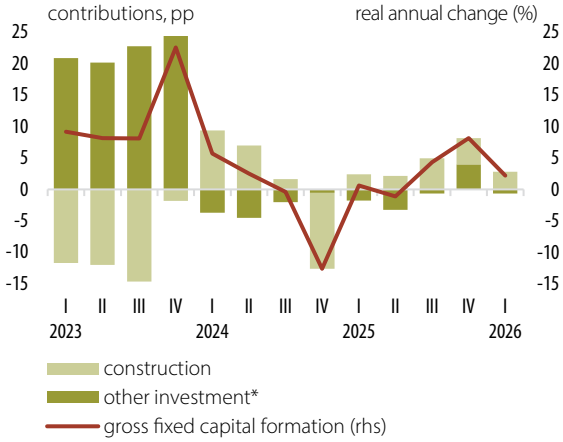
9 Which had, however, a minor effect on the budget balance, given the relatively similar developments in disbursements from the EU.

10 Capital expenditure saw a sharp decline in annual terms as well.

Opposite, albeit relatively more modest influences came from the fall in budget revenues[11], primarily on the back of disbursements from the EU[12], but also due to the drop in tax revenues, under the impact of the decline in receipts from corporate income tax[13] and VAT[14], which outweighed that of the increase in receipts from property taxes and fees[15] and from wage and personal income taxes[16].

Budget execution further improved in 2026 Q2, albeit at a slacker pace compared to the previous three months, the budget deficit shrinking in this period to lei 19.9 billion (1.0 of GDP), from lei 26.1 billion (1.4 percent of GDP) in 2025 Q2.

Chart 2.3. Investment



*) machinery and equipment, including the transport equipment bought by companies and public institutions, expenditure on biological assets in agriculture, IT software, R&D, geological works, service costs associated with the transfer of ownership of existing fixed assets, etc.

Source: Eurostat, NIS, NBR calculations

Thus, in 2026 H1 as a whole, the budget deficit reached lei 41.0 billion (2.0 percent of GDP), well below that posted in the same year-ago period, amounting to lei 69.8 billion (3.6 percent of GDP).

Gross fixed capital formation, albeit on a slowdown from 2025 Q4, further posted a positive growth rate (2.2 percent, annual change), on account of construction investment (+5.4 percent), whereas equipment purchases (including the transport equipment bought by companies and public institutions) fell by about 2 percent (Chart 2.3). The investment outlook for the immediately forthcoming period is marked by the low confidence stemming from recurrent geopolitical shocks, with spillovers on international commodity prices, doubled, on the domestic front, by concerns about the continued progress in fiscal consolidation and the announced reforms, in a context of political instability. The signals regarding private investment, sent out in 2026 H1 by several market surveys and analyses[17], point to a prudent behaviour of the corporate sector. As concerns residential investment, the drop in real income and the still elevated IRCC reflect in a decrease to a three-year low[18] in the intention to purchase/build a dwelling in the next 12 months.

11 Consequently, the real annual growth rate of total budget revenues dropped to 2.5 percent (from 12.5 percent in 2025 Q4).

12 In real annual terms, however, disbursements from the EU continued to increase, albeit at a slower pace.

13 This evolution was mainly seasonal, attributable to the tax calendar.

14 Also amid the rise in tax refunds; nevertheless, in real annual terms, VAT receipts further grew at an almost similar pace to that in 2025 Q4.

15 Specific to the beginning of the year and reflecting, among others, the impact of the hike in local taxes on buildings.

16 Amid, *inter alia*, the surge in receipts from the tax on dividends in January, as a result of dividend distribution based on interim financial statements drawn up during 2025, withholding the 10 percent tax rate (raised to 16 percent as of 2026).

17 Foreign Investors Council's Business Sentiment Index, AmCham Romania's *Business Barometer*, *EY Attractiveness Survey Romania 2026*

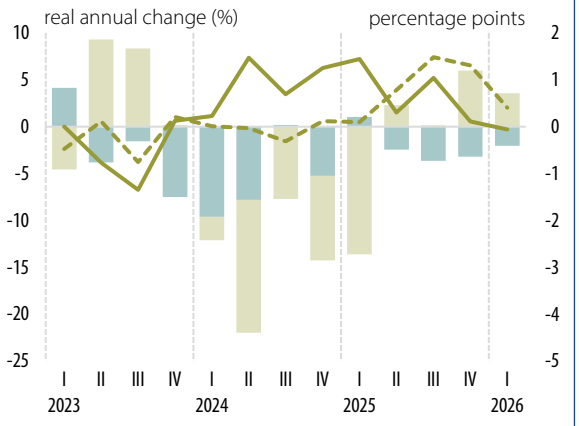
18 EC-DG ECFIN survey for 2026 Q2

On the supply side, the developers in large cities have however a series of new projects on hold, although these projects are smaller in terms of volume and adapted to more demanding customers[19].

As a result, EU-funded projects will remain key for keeping investment on an upward path, targeting primarily the transport infrastructure (road, rail and utility networks), the non-residential segment (hospitals) and the housing stock (energy rehabilitation). Signs of stepped-up efforts to use the available European funds are visible for all major financing programmes underway. Specifically, under the MFF 2021-2027, nearly half of the cohesion policy funds allocated for 2026 were absorbed January through May, while under the SAFE initiative, providing allocations of EUR 16.7 billion for Romania, contracts in amount to EUR 7.5 billion for military acquisitions and EUR 4.2 billion for completing the final sections of A7 and A8 motorways had also been signed by the end of May. Under the NRRP, Romania received in June EUR 2.25 billion in grants for the fourth payment request, the absorption rate standing at close to 61 percent.

Net external demand continued to support real GDP dynamics in Q1, but had a lower contribution (0.3 percentage points) than in 2025 Q4, given the narrowing of the positive differential between the annual changes in exports and imports of goods (Chart 2.4). However, exports of goods are little likely to see a rebound in the short term, against the background of moderate expectations on the economic activity in the euro area (also as a result of the effects that the outbreak of the war in Iran has on commodity prices and supply chains), as well as of the further competitiveness issues of domestic goods (high production costs, marginal progress in terms of enhancing operational efficiency, in a context in which uncertainties deter investment). Moreover, the slow-paced adaptation to the international economic situation prevailing in recent years, characterised by China's expansion in high-tech product markets, puts pressure on the European industrial model, in which Romania's economy is integrated.

Chart 2.4. Foreign trade



Source: NIS

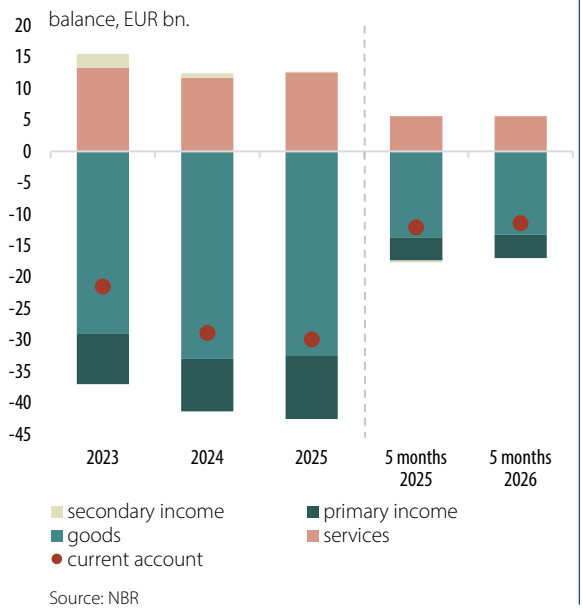
Exports of goods rose by 2 percent in 2026 Q1, but the annual dynamics decelerated by 5 percentage points versus 2025 Q4, amid the faster decline in the industrial turnover on the external market (to -5.5 percent, real annual change), visible at the level of intermediate, energy and capital goods. In the latter case, the automotive industry also posted a sharper contraction, the trends of the two constituent sub-sectors being further divergent. On the one hand, exports of motor parts dropped by 1.4 percent and a recovery is little likely in the near future

19 *2026 Q1 Report* (Imobiliare.ro)

considering that the German automotive industry, the recipient of over 40 percent of exports of domestically produced motor parts, is going through a period of distress. On the other hand, exports of motor vehicles went up by 9.2 percent in Q1, but they may see a worsening in the immediately forthcoming period, due *inter alia* to the aggressive competition in the European markets[20]. Similarly to previous quarters, the group of agri-food commodities (+13.9 percent) was the main contributor to export growth, as a result of the bountiful crops in 2025. Moreover, investments made in recent years in the primary sector and manufacturing contributed to the increase in exports of selected manufactured products (a relevant example is the food industry, where the dynamics of turnover on the external market picked up to approximately 15 percent, being one of the rare exceptions in the case of exports of industrial goods).

The volume of imports of goods decreased by 0.3 percent in annual terms, largely on account of consumer goods (durables, in particular), in line with the slowing demand, and of intermediate goods, mainly chemical products and energy. In the last two cases, a significant contribution had the frontloading of imports in 2025 Q4, given the entry into force, as of 1 January 2026, of the Carbon Border Adjustment Mechanism, as well as the closure of the Petrotel refinery[21] and the scheduled overhaul at Rompetrol, which led to a sizeable reduction (by 30 percent) in imported quantities of crude oil and to an increase by around 39 percent in those of petroleum products. The contraction in oil purchases was only partly offset by the advance in imports of refined goods and natural gas[22].

Chart 2.5. Current account



Source: NBR

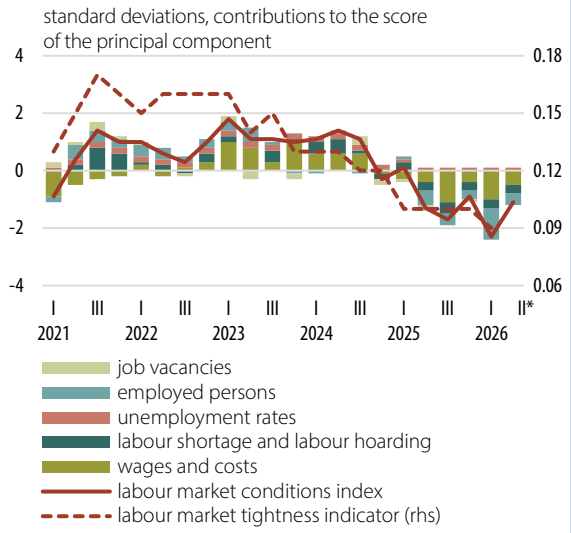
The positive dynamics of the volume of exports, in parallel with the contraction in imports, had a favourable effect on the balance on trade in goods, its deficit narrowing by 7.7 percent in Q1. In the first five months of 2026, the trade imbalance was nearly 4 percent lower, contributing to the reduction in the current account deficit by 5.4 percent. A contribution thereto also had the secondary income account, as its deficit was 5 times narrower than in the same year-ago period, as a result of the faster absorption of EU funds for social objectives under the MFF 2021-2027 and the rise in current transfers of Romanian workers from abroad. Conversely, the increase in interest payments on government securities resulted in the widening of the primary income deficit (by 4 percent in annual terms),

20 From April to June, the domestic production, primarily export-oriented, declined by 19 percent year on year, in terms of number of cars manufactured, whereas the number of new car registrations at EU level grew by about 4 percent, according to the Automobile Manufacturers' Association of Romania (ACAROM).

21 The decision was made towards the end of 2025, amid the US's economic sanctions against the Russian Federation.

22 In the latter case, exports posted an even swifter growth, this evolution being in fact visible throughout the first half-year, so that the import dependency of domestic consumption decreased as compared to the 2025 average, to 3.6 percent.

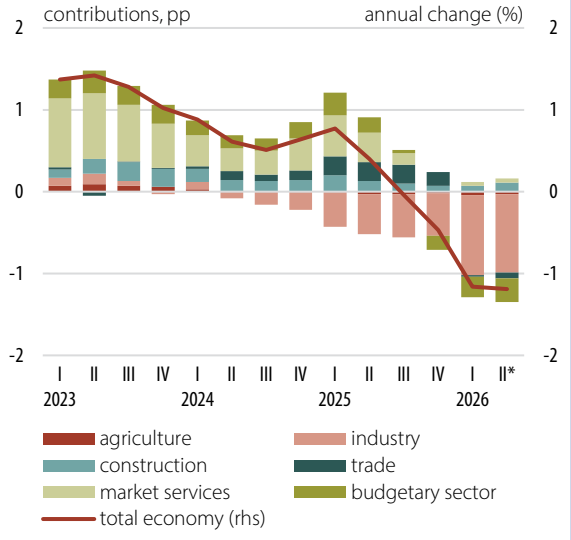
Chart 2.6. Labour market conditions index (LMCI)



*) The latest available data were used for the results for 2026 Q2, whereas in their absence the values in 2026 Q1 were kept.

Source: NIS, Eurostat, EC-DG ECFIN, NBR estimates

Chart 2.7. Number of employees economy-wide



*) Apr.-May

Source: NIS, NBR calculations

whereas the services surplus remained unchanged, the further growth of receipts from international road freight transport, ICT and other business services being largely offset by the deepening shortfall of travel (Chart 2.5).

Labour market developments

The labour market is going through an adjustment, downsizing being driven mainly by cyclical factors (weaker demand), but also by structural factors (balancing of industrial activity). The indicators that are more sensitive to the economic cycle stand close to the most unfavourable levels from a historical perspective (for instance, the job vacancy rate and the youth unemployment rate), signalling further loose labour market conditions. At the same time, the employment rate and the labour force participation rate remain stagnant at very low levels (in comparison with other EU Member States), with no prospect of a rebound in the near future, given that employment expectations continue to be pessimistic. In turn, the developments in unit labour costs indicate labour market easing, on the back of the slower annual wage dynamics (Chart 2.6).

Labour demand remained weak in 2026 Q1, the job vacancy rate staying at a 10-year low, i.e. 0.6 percent. Headcount reductions translated into an increase in the ILO unemployment rate to 6.4 percent, a similar level to that posted during the COVID-19 pandemic; provisional data available for April-May 2026 are suggestive of the rate stabilising at that level. At the same time, according to the results of the DG ECFIN survey, labour shortage is perceived as an increasingly less relevant constraint on the activity of firms, amid the worsening economic conditions.

In 2026 Q1, the number of employees economy-wide fell by 1.2 percent in annual terms, layoffs occurring mostly in industry (a 1 percentage point contribution to the decrease, Chart 2.7). The breakdown by sector shows that staff cuts were of a similar magnitude to those in 2025 in the automotive industry, whereas smaller, yet cumulatively relevant headcount reductions were recorded in the food industry, the manufacture of rubber and plastic products, the manufacture of wood, metallurgy and mining. In trade, the number of employees remained somewhat stable in Q1, after a period of robust growth in the previous quarters, while in information technology it witnessed minor declines. Construction was the sole sector in which payrolls expanded more visibly (0.8 percent annual rate of change), on account of the large

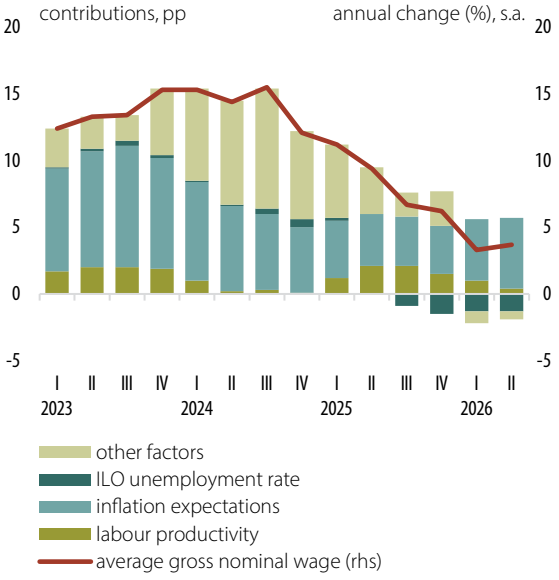
infrastructure projects under way. The number of budgetary sector employees shrank by 1.2 percent in annual terms, given the cumulative impact of the suspension of contests for filling the already open vacancies, on the one hand, and the hiring freeze for the positions vacated by retirees or voluntary separations of employees, on the other hand. In April-May 2026, the annual change of the number of employees economy-wide did not improve, staying at -1.2 percent.

Over the short term, business reorganisation will most likely continue. According to the DG ECFIN survey, companies' employment expectations deteriorated April through June, indicating probable new layoffs. Moreover, the ManpowerGroup Employment Outlook Survey is suggestive of the prevalence of restructuring intentions for 2026 Q3 (net employment intentions declining to -12 percent from -5 percent in the previous edition).

In 2026 Q1, the annual growth rate of gross wage earnings economy-wide decelerated markedly to 3.9 percent (from 6.4 percent in 2025 Q4), against the backdrop of current developments as well as a base effect in January, generated by the taxation changes that had occurred a year before[23]. The annual dynamics of private sector wage earnings ran at 5.7 percent (-2.3 percentage points from the previous three-month period), whereas those of budgetary sector wage earnings witnessed a steeper slowdown, by around 1 percentage point, to -2.6 percent. Data for April-May point to a further deceleration of the annual pace of increase of wages economy-wide to 3.3 percent, driven by the private sector (4.9 percent), whereas in the budgetary sector the decrease was of a similar magnitude (-2.6 percent).

In-house estimates of the wage Phillips curve (Chart 2.8) show that the slowdown in wage dynamics was determined by the lower contribution from labour productivity, the easing of labour market conditions and the downward influence of factors exogenous to the model (typically linked with administrative measures). The rise in inflation expectations in the previous quarters is practically the sole source of wage increases (estimation based on the data series adjusted in-house for seasonal and calendar effects[24]).

Chart 2.8. Developments in the average gross wage economy-wide



Note: In this specification of the wage Phillips curve, wage dynamics are determined by labour productivity, labour market conditions and labour market participants' inflation expectations (assumed to be adaptive, with a two-quarter transmission lag).

Source: NIS, Eurostat, NBR estimates and forecasts

23 In January 2025, some employers (particularly in the food industry and construction) made additional wage increases to partly make up for employees' net wage earnings losses following the removal of tax breaks.

24 This series indicates a step-up in the annual dynamics of wages in April in contrast to the developments in the unadjusted series.

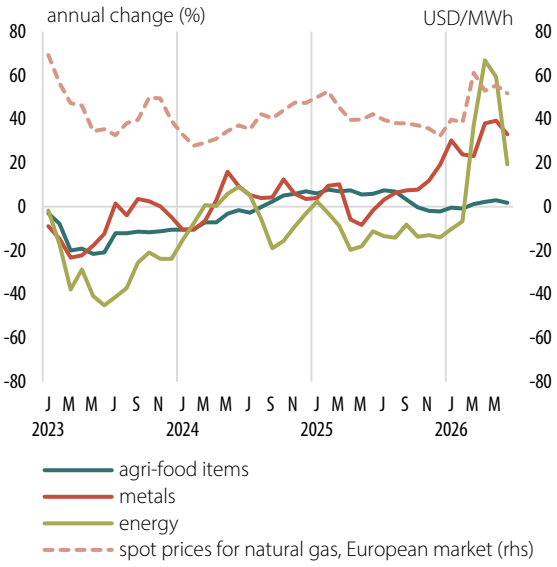
2. Import prices and producer prices on the domestic market

Mounting tensions in commodity markets from March onwards, particularly in energy markets, following the outbreak of the Middle East conflict and the near-complete halt to shipping through the Strait of Hormuz, left their mark on import prices and producer prices on the domestic market, with the latter posting double-digit annual increases in April and May. Pressures also came from agri-food commodity markets, despite estimates of a good domestic harvest, given the high costs of fertilisers and fuels. Some inflationary pressures will persist in the period ahead as well and the supply shock will continue to propagate along the value chains, while weaker domestic demand is expected to partly offset these pressures.

2.1. Import prices

The energy shock triggered by the outbreak of the Middle East conflict in late February was reflected in the developments in international commodity prices. Specifically, the annual rate of change of the aggregate index calculated by the World Bank moved firmly back into positive territory in March (to around 25 percent), and conditions deteriorated further in early Q2, with annual changes exceeding 40 percent in April and May (Chart 2.9). Starting in June, the diplomatic progress helped reduce geopolitical risk and slow the pace of increase (to 15.8 percent).

Chart 2.9. International commodity prices



Source: World Bank, FAO, Bloomberg, NBR calculations

Energy commodity prices recorded large swings amid the war in the Persian Gulf and the blockade of the Strait of Hormuz (events which, in the World Bank's assessment[25], constituted the largest adverse supply shock ever recorded in energy markets), with their annual growth rate accelerating to 47.8 percent in 2026 Q2. Brent crude oil prices had previously been influenced by excess supply in the market, but the situation changed radically from March, with their annual dynamics surging to approximately 50 percent in Q2.

On the natural gas market, TTF prices, the European benchmark, also spiked in March (a monthly increase of around 60 percent), followed by slight corrections, although they remained high by historical standards for that time of year. In addition to persistent transit disruptions through the Strait of Hormuz and constrained supply from Qatar (a major producer and exporter of liquefied natural gas), further pressures stemmed from the strong demand, both for power generation with the onset of

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the warm season and amid the gas storage replenishment campaign (at end-June, when gas injections usually peak, storage levels across Europe were below the average of recent years).

Metal prices continued to rise more steeply, with the annual rate of change of the World Bank index reaching 36.8 percent in 2026 Q2, up from 25.6 percent in Q1. This trend was driven by the closure of the Strait of Hormuz, higher energy costs and structural demand associated with investment in digital infrastructure and artificial intelligence. Aluminium prices surged by more than 40 percent, with Gulf countries controlling around 9 percent of global production[26]. The annual rate of increase in tin prices also accelerated to over 50 percent in both quarters of 2026, owing to supply constraints in some major exporting countries (Indonesia and Myanmar). In the case of iron ore, moderate annual growth rates were supported *inter alia* by higher exports from Guinea following the start of production at a mining megaproject[27].

Turning to agri-food commodities, the annual rate of change of the FAO index moved into positive territory in March and remained there April through June, standing at 2.3 percent. This trend was driven by cereals and oilseeds, reflecting stronger demand for biofuels and pressures on the fertiliser market stemming from the war in Iran. Conversely, dairy products continued to record annual declines in prices (against the backdrop of weaker demand from China, especially for milk powder), as did sugar, owing to large production in the main exporting countries (Brazil, Thailand). As regards meat, stronger price increases were recorded for beef, on the back of substantial purchases by Chinese importers under government-imposed import quotas[28]. In the case of pigmeat, annual rates remained in negative territory, with ample supply at EU level being fuelled by bans imposed by some Asian countries (the Philippines, Japan) on imports from Spain following disease outbreaks reported there, as well as by lower imports from China, which had managed to rebuild its pig herd following substantial investment.

Data for 2026 Q1 point to a moderation in the annual contraction in external prices, with the unit value index of imports (UVI) edging up to 98.9 percent. The energy and industrial goods segments contributed to the increase in the index, with significant hikes recorded for fuels, base metals, pharmaceutical products, fertilisers and wood products. By contrast, external prices fell for food items, with declines in the UVI observed particularly for animal fats and, to a lesser extent, for sugar, coffee and meat.

26 Producers such as Emirates Global Aluminium, Aluminium Bahrain and Qatar Aluminium experienced declines in production capacity following attacks on their facilities. According to the International Aluminium Institute, the region's output plunged by 40 percent in April compared with pre-conflict levels.

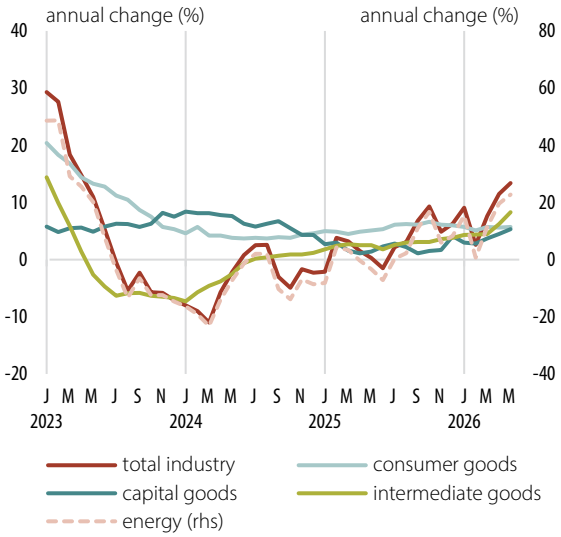
27 In May, Guinea's exports were twice their April level, reaching 2.2 million tonnes (against a monthly average of 600,000 tonnes in January-March). The Simandou megaproject is considered the largest mining project in history.

28 To protect domestic producers, China introduced annual country-specific quotas on beef imports from 1 January 2026, with a high punitive tariff applied once the quotas were exceeded. This prompted rapid purchases in the first months of the year, until the ceilings were reached.

2.2. Producer prices on the domestic market

In April-May 2026, the annual dynamics of industrial producer prices on the domestic market picked up to 12.5 percent (6 percentage points above the 2026 Q1 average), as tensions in commodity markets, particularly energy markets, mounted from March onwards following the outbreak of the conflict in the Middle East and the blockade of the Strait of Hormuz (Chart 2.10). Even though the US-Iran Memorandum of Understanding provided some signs of stabilisation, tensions remain, meaning that the shock will continue to propagate along value chains and affect the trajectory of producer prices in the period ahead. According to the June DG ECFIN survey, the balance of answers on the expected evolution of producer prices remained high, at 26.6 percent, albeit slightly lower than that in the previous period.

Chart 2.10. Industrial producer prices on the domestic market



Source: NIS, Eurostat, NBR calculations

The annual growth rate of producer prices for energy stepped up to 21.2 percent in April-May 2026 (up 12.3 percentage points from Q1). The trend was driven by developments in crude oil processing (up 49.8 percentage points, to 54.9 percent), following the sharp rise in Brent crude oil prices in April, as well as those in electricity, gas, steam and air conditioning supply. In the latter case, the main influences were the liberalisation of the natural gas market for non-household consumers in April 2026 and higher spot prices for both commodities on domestic wholesale markets. As regards natural gas, in addition to external factors, the upward movement was also supported by domestic developments, namely maintenance works carried out by one of the local producers in April. In the electricity market, domestic prices on the free wholesale market moderated in April, but the situation reversed one month later, as wind and solar power generation proved insufficient to offset the sharp contraction in supply caused by the Danube flow falling below its long-term average and by the temporary shutdowns at Nuclearelectrica and several thermal power plants for maintenance and repairs.

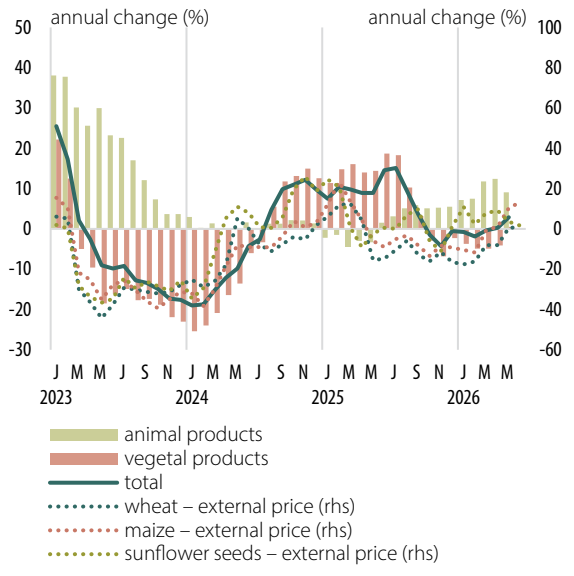
The annual rate of increase of producer prices for intermediate goods rose by 2.8 percentage points against Q1, to 7.3 percent in April-May. The repercussions of the conflict in the Middle East were also felt in markets for goods produced using oil or natural gas as inputs (fertilisers, other chemical products, and metals) and/or whose global production is controlled to a significant extent by Gulf countries (supplying approximately 25-30 percent of EU Member States' nitrogen fertiliser requirements). Specifically, annual growth rates of prices in rubber processing, the chemical industry and metallurgy accelerated by between 5.7 and 9.1 percentage points.

Producer prices for capital goods also posted faster annual dynamics (up 1.7 percentage points from Q1, to 4.9 percent), amid the pass-through of higher metal prices, but especially due to higher microchip prices on international markets. The latter development

was driven by both demand-side factors, namely the construction of new data centres following the rapid development of AI, and supply-side factors, given that Qatar is a major producer of helium, a gas used in semiconductor manufacturing. The effects were particularly visible in industries such as the manufacture of electronic products, machinery and equipment, and the automotive industry; in the latter case, the slower pick-up in price dynamics may be associated with the headwinds facing the sector at European level, resulting in subdued demand for domestic suppliers, as well as in a weakening competitive advantage of local motor vehicle manufacturers.

The annual dynamics of producer prices for consumer goods remained unchanged at 5.6 percent, reflecting mixed developments across components. Specifically, the annual growth rate of producer prices for durables moderated to 6.9 percent, possibly owing to the dampening effect of domestic demand, as consumers postponed purchases given the economic situation. The annual rate of change of non-durable consumer goods prices inched up (+0.2 percentage points, to 5.5 percent), on the back of price increases in the beverages industry (due to higher costs for packaging and carbon dioxide[29]). The annual dynamics of producer prices in the food industry recorded a slight deceleration (-0.8 percentage points), against the backdrop of lower costs for some commodities (pigmeat, milk) and the marked slowdown in wage growth.

Chart 2.11. Agricultural producer prices



Source: NIS, Bloomberg, NBR calculations

In April-May 2026, the annual rate of change of agricultural producer prices returned to positive territory (1.5 percent versus -1 percent in Q1) (Chart 2.11). In the vegetal segment, sunflower seed prices grew more rapidly in annual terms – in this case supply was somewhat tighter, to which added the demand for biodiesel. By contrast, some products, such as wheat and potatoes[30], continued to show negative annual price changes. Most meat categories recorded strong year-on-year price increases, given high production costs (animal feed and utilities); pigmeat was the exception, with the annual growth rate of its prices remaining in negative territory, in line with the trends observed at the European level.

Unit labour costs

The annual rate of change of unit labour costs economy-wide rose to 1.9 percent in 2026 Q1 (against 0.3 percent in the previous quarter), Chart 2.12. This occurred as the annual dynamics of labour productivity neared zero (0.1 percent, down from 2.8 percent in 2025 Q4); however, the annual growth rate of compensation per employee declined further to 2 percent (from 3.1 percent in the previous quarter).

29 Higher natural gas prices led to a reduction in fertiliser supply, with spillovers on carbon dioxide prices (a by-product of fertiliser production).

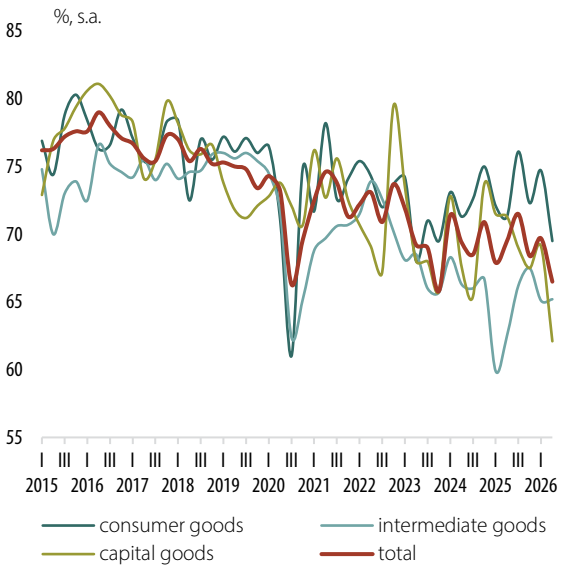
30 The European market is characterised by oversupply.

Chart 2.12. Unit labour costs



Source: NIS, NBR calculations

Chart 2.13. Capacity utilisation rate in industry



Source: EC-DG ECFIN

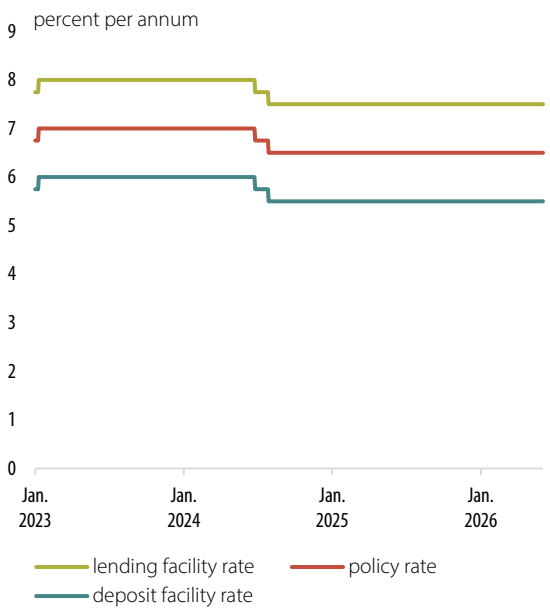
In industry, the annual rate of change of unit wage costs moderated to 4.1 percent in 2026 Q1 (compared with 7.8 percent in 2025 Q4). This was mainly due to the softer wage dynamics, but also to an improvement in labour productivity, largely driven by substantial layoffs. The breakdown by sector shows that the main contributions to the correction in unit wage costs came from the food industry, light industry, metallurgy, the manufacture of electrical equipment, and the manufacture of rubber and plastic products. For the following quarter, data for April-May suggest that the moderation in ULC growth came to a halt (6.4 percent), as the contraction in activity was much more pronounced than the adjustment in labour costs. The fall in the capacity utilisation rate to a level comparable to that seen during the pandemic (Chart 2.13) confirms the weakness of domestic industry.

3. Monetary policy and financial developments

1. Monetary policy

In May and July 2026, the NBR kept the monetary policy rate at 6.50 percent and left unchanged the lending and deposit facility rates at 7.50 percent and 5.50 percent respectively (Chart 3.1). Moreover, the central bank kept the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions at 8 percent and 5 percent respectively. The decisions aimed to ensure and maintain price stability over the medium term, in line with the 2.5 percent ±1 percentage point flat target, in a manner conducive to achieving sustainable economic growth.

Chart 3.1. NBR rates



The NBR Board decisions in May were taken in a context in which the current developments in inflation and its short-term outlook deteriorated versus the February 2026 forecast, under the impact of supply-side factors, while increasingly stronger underlying disinflationary pressures were expected over the longer horizon, more pronounced than those projected previously, amid the progress in budget correction, but also in the context of the energy crisis generated by the Middle East war.

Specifically, the annual inflation rate went up slightly in 2026 Q1, to 9.87 percent in March from 9.69 percent in December 2025[31], given that the impact exerted during this period by the surge in fuel prices owing to the Middle East war and by the moderate renewed increases in the growth rates of VFE and tobacco product prices outweighed somewhat the effects stemming from the notable drop in natural gas and electricity prices, as well as from the slight deceleration in the annual adjusted CORE2 inflation rate. The latter entered a mildly downward path at the beginning of 2026, falling to 8.2 percent in March from 8.5 percent in December 2025[32], under the impact of disinflationary base effects and the decrease in some agri-food commodity prices and the import price dynamics, but also amid the weakening of consumer demand.

31 It thus reversed the mild decline recorded in 2025 Q4, to 9.69 percent in December, from 9.88 percent in September.

32 Almost entirely on account of the dynamics of the processed food sub-component, which embarked on a downward trajectory after six quarters of increase.

At the same time, the new medium-term forecast indicated a worsening of the inflation outlook in the first part of the projection horizon compared to previous rounds. Specifically, the annual inflation rate was expected to step up in 2026 Q2 above the previously envisaged levels and, after the probable abrupt downward correction in Q3 amid some base effects, to resume its decrease on a higher path, re-entering the variation band of the target in 2027 Q3, one quarter later than in the February forecast. The indicator would then return, however, to the coordinates in the previous projection and continue to shrink gradually, remaining only slightly above the mid-point of the inflation target at the end of the forecast horizon. Thus, the annual inflation rate was seen reaching 10.3 percent in mid-2026 and coming in at 5.5 percent in December 2026, versus 9.8 percent and 3.9 percent respectively anticipated previously for the same reference periods, before dropping to 2.7 percent in March 2028, compared with 2.9 percent indicated by the prior projection for December 2027.

Behind the deterioration of the inflation outlook stood the effects anticipated to be exerted domestically – mainly via the surge in fuel prices – by the particularly sizeable increases in oil and natural gas prices amid the Middle East conflict. They would overlap the unfavourable base effects that would be manifest in the energy segment in 2026 Q2, but also the influences expected to stem from the liberalisation of the natural gas market for non-household consumers on 1 April 2026 and from the mid-year removal of the cap on the mark-up on basic food products.

Under the circumstances, the action of supply-side factors would strengthen its inflationary nature in 2026 Q2, including against the previous forecast, before turning strongly disinflationary again in Q3 – amid the dissipation of the direct effects exerted by the expiry of the electricity price capping scheme and by the increases in VAT rates and excise duties –, although to a smaller extent than foreseen earlier. In addition, the balance of risks stemming from supply-side factors remained tilted to the upside, at least in the short run, given especially the uncertainties associated with developments in oil and other commodity prices, as well as their potentially higher direct and indirect effects on the domestic front, *inter alia* in conjunction with the May depreciation of the leu.

Moreover, underlying factors were expected to exert very slightly disinflationary pressures in the near future, considering the size of the aggregate demand deficit and the prospects for its further widening in the first half of 2026, but also the time lag necessary for the disinflationary effects of the negative output gap and of the flagging consumer demand to become manifest – especially amid the higher persistence of core inflation –, as well as the likely temporary re-acceleration of private sector wage cost dynamics in the first quarters of the current year. Underlying disinflationary pressures were, however, to strengthen over the longer horizon, as the aggregate demand deficit was anticipated to widen further in 2026 H1 and to narrow very slowly afterwards[33] – amid the progress in budget correction, but also in the context of the global energy crisis –, going down and sticking throughout the forecast horizon to

[33] Economic activity was expected to strongly reflect, in the first half of 2026 as well, the effects of the budget consolidation measures and of the high inflation dynamics, affecting primarily household real disposable income, but to recover afterwards, particularly in 2027, mainly amid the use of European funds, especially those under the NRRP, as well as in the context of the de-escalation of the Middle East conflict and the revival of external demand.

significantly lower-than-previously-envisaged values. Disinflationary influences were envisaged to stem also from the probable additional improvement in the aggregate demand composition during 2026, through the further increase in the contribution of investment to economic growth to the detriment of that of private consumption, with implications for the future dynamics of potential GDP as well.

At this juncture, the risk for the sharper rise in the annual inflation rate in 2026 Q2 to affect medium-term inflation expectations and generate second-round effects was significantly diminished, yet called for close scrutiny of all developments, also in light of the inflation behaviour in previous years.

Heightened uncertainties were nevertheless associated, in the context of the domestic political situation, with the measures that might be adopted to keep the budget deficit on a sustainable downward path beyond the current year, in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure.

High uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, also stemmed however from the Middle East conflict and the global energy crisis, via the effects they could exert, through several channels, on consumer purchasing power and confidence, as well as on firms' activity and profits, *inter alia* by affecting the dynamics of economies and inflation in Europe/ worldwide and the risk perception towards the region, with an impact on financing costs. A significant source of risks and uncertainties remained also the absorption and efficient use of EU funds, especially those under the Next Generation EU programme, essential for partly counterbalancing the contractionary effects of budget consolidation and of global geopolitical and trade conflicts, as well as for carrying out the necessary structural reforms, energy transition included, but also for enhancing the growth potential and strengthening the resilience of the Romanian economy.

According to subsequently released statistical data, the annual inflation rate continued to pick up during the first two months of 2026 Q2, climbing to 10.85 percent in May, driven mainly by the significant increases in the dynamics of natural gas, fuel and administered prices, under the impact of base effects and the rise in oil prices, as well as following a notable hike in rents for state-owned housing. At the same time, the annual adjusted CORE2 inflation rate saw a halt in the slow downward trend it had embarked on at the onset of 2026, rising mildly in both months to reach 8.5 percent in May, as the further decrease, over this period too, in the dynamics of processed food prices was more than offset, in terms of impact, by the increases in the growth rates of the non-food sub-components, with that of the services sub-group, reported after two months of decline, being more pronounced[34].

Economic activity stalled in 2026 Q1, after having contracted by 1.9 percent in 2025 Q4, which made it likely for the aggregate demand deficit to widen moderately over

[34] The upward influences on core inflation came mainly from the indirect effects of costlier fuels and from the increases in the EUR/RON exchange and in the dynamics of some import prices, also amid high short-term inflation expectations. They significantly outweighed the downward influences stemming from lower prices of some agri-food commodities and weaker consumer demand.

this period, in line with expectations. Economic activity decreased by 1.2 percent in 2026 Q1 versus the same year-ago period, after a 0.2 percent advance in 2025 Q4, mainly as a result of a steeper drop in household consumption in annual terms, as well as following the wider negative contribution made by the change in inventories. Moreover, gross fixed capital formation growth slowed down, while net exports had a lower expansionary effect, as the annual change of exports of goods and services, in terms of volume, saw its positive differential versus that of imports narrow significantly, recording a more pronounced decrease compared to the previous quarter. Against this background, the trade deficit reported a lower contraction in annual terms, whereas the current account deficit posted a faster year-on-year decline due to the improvement in the evolution of income balances.

Looking at the labour market, the number of employees economy-wide slowed its fall in April versus the previous three months and stopped it in annual terms, whereas the ILO unemployment rate remained almost unchanged April through May overall, after having risen to an average of 6.4 percent in 2026 Q1, and the job vacancy rate stayed put. In turn, the annual growth rate of nominal gross wage and that of unit labour costs in industry recorded a visibly slower downward trend in April than in 2026 Q1, yet amid their fall to low levels from a historical perspective ever since January. Moreover, the 2026 Q2 surveys indicated a continuation in the decline in employment intentions over the very short horizon, as well as a further contraction in the labour shortage reported by companies.

The main interbank money market rates remained relatively unchanged in the second half of 2026 Q2 as well, whereas medium- and long-term yields on government securities extended their downward adjustment, at a slow pace however and on a moderately winding course, in the context of the Middle East conflict, but also amid the domestic political situation and the associated uncertainties. Under the same circumstances, the EUR/RON exchange rate largely reversed its downward correction seen in mid-2026 Q2 and then stuck to the new readings, only slightly below the values it had climbed to in the early days of May. Moreover, the USD/RON exchange rate stayed on the generally upward path it had re-embarked on in the latter half of April, given the steepening of the US currency's appreciation trend on international financial markets in mid-May.

The annual pace of increase of credit to the private sector remained in the first two months of Q2 on the slow upward path resumed at the beginning of 2026, as the loss of momentum for the leu-denominated component was visibly outweighed in terms of impact by the further sustained pick-up in the dynamics of foreign currency credit – on the back of developments in loans to non-financial corporations –, as well as by the statistical effect of the movements in the leu's exchange rate. The rise was slowed somewhat by the dynamics of household credit, which posted new mild declines over this period, on account of the growth rate of leu-denominated consumer credit and other loans.

According to the updated assessments in this context, the annual inflation rate was estimated to have shrunk slightly in June, before posting a substantial decline in 2026 Q3, as previously anticipated, amid the fade-out of the direct effects from the

removal of the electricity price cap and the increases in VAT rates and excise duties. Compared with the May 2026 medium-term forecast, the decreasing values probably to be reached by the indicator over the near term were somewhat higher, amid the influences recently stemming especially from the rise in rents for state-owned housing.

At the same time, the balance of risks stemming from supply-side factors remained tilted to the upside in the short run, given mainly the uncertainties associated with developments in natural gas and other commodity prices in the context of the Middle East conflict, as well as the indirect effects potentially exerted domestically by the global energy shock, *inter alia* via the prices of some imported intermediate and final goods. Downside risks came however from the sizeable downward adjustment of oil prices in June and the probably improved performance of agriculture, with implications for VFE prices and other agri-food commodity prices, as well as from the situation of consumer and aggregate demand, which could moderate the pass-through of costlier fuels and natural gas to some goods and services prices.

Underlying factors were expected to exert weak disinflationary pressures in the near future, which would nevertheless become increasingly obvious in the longer run. This owed to the time lags necessary for the effects of the negative output gap to become manifest – especially amid the higher persistence of core inflation –, but also to the considerable size reached by the aggregate demand deficit towards end-2025 and in 2026 Q1, as well as to the prospects for its further widening over the upcoming quarters[35], primarily amid the progress in the budget correction initiated in 2025. Developments were accompanied by the decline in private consumption in recent quarters, reflecting *inter alia* the impact of the global energy shock, as well as by the consolidation of the downtrend in the dynamics of wage costs in industry/private sector, whose joint disinflationary effects were also expected to materialise with a lag.

At this juncture, the risk for the level and the recent rise of the annual inflation rate to affect medium-term inflation expectations and generate second-round effects was significantly diminished, yet called for close scrutiny of all developments.

High uncertainties were further associated, however, also in the current domestic political situation, with the measures that might be adopted in the future to keep the budget deficit on a sustainable downward path beyond the current year, in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure.

Significant uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, also continued to stem nonetheless from the Middle East conflict and the global energy shock, via the effects they could exert, through multiple channels, on consumer purchasing power and confidence, as well as on firms' activity and profits. Moreover, uncertainties were associated with the absorption and use of EU funds, especially those under the Next Generation EU programme.

35 The new assessments pointed to a slight recovery of economic activity in 2026 Q2 and Q3 overall, more modest than in the prior forecast, implying that the aggregate demand deficit would go down to lower values than those previously anticipated for this period.

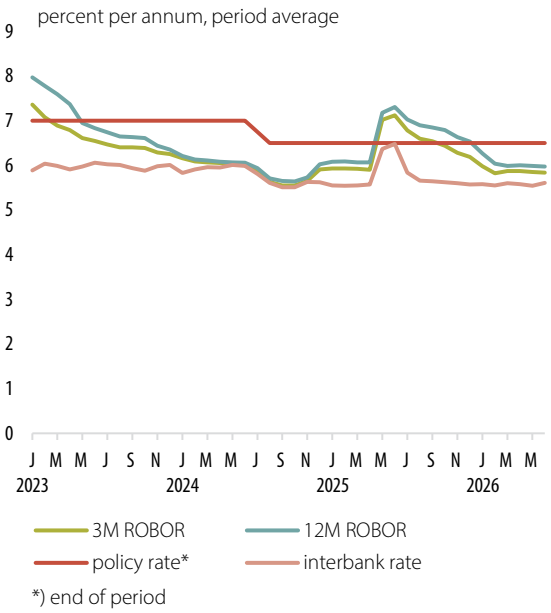
The analysed context overall warranted a policy rate *status quo*, with a view to ensuring and maintaining price stability over the medium term, in a manner conducive to achieving sustainable economic growth.

Under the circumstances, in its meeting of 8 July 2026, the NBR Board decided to keep the monetary policy rate at 6.50 percent and to leave unchanged the lending and deposit facility rates at 7.50 percent and 5.50 percent respectively. Furthermore, the NBR Board kept the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

2. Financial markets and monetary developments

In 2026 Q2, the daily average interest rate in the interbank money market[36] continued to fluctuate slightly above the lower bound of the interest rate corridor, while longer-term rates posted only a few minor declines, thus remaining in the vicinity of the higher levels reached in the first half of March 2026. The EUR/RON exchange rate saw a significant abrupt increase at end-April and in the early days of May, which was corrected to a small extent in mid-Q2, and then it stuck to the new readings. The annual growth rate of liquidity in the economy stayed April through May overall at an average similar to the Q1 level, while that of credit to the private sector steepened slightly its upward course.

Chart 3.2. Policy rate and ROBOR rates



2.1 Interest rates

The daily average interest rate in the interbank money market continued to fluctuate slightly above the lower bound of the interest rate corridor during 2026 Q2. Its quarterly average thus stayed unchanged at 5.58 percent[37].

The developments reflected the behaviour of very short-term rates, amid the *status quo* of NBR interest rates and the money market liquidity surplus, which remained ample, although narrowing significantly versus the previous quarter, and was further mopped up by the central bank via the deposit facility[38].

The 3M-12M ROBOR rates posted only a few minor declines during 2026 Q2, thus remaining in the vicinity of the higher levels reached in the first half

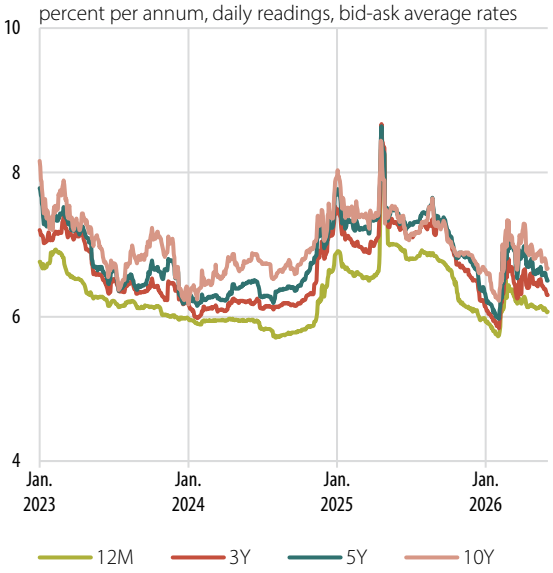
36 The average interest rate on transactions in deposits on the interbank money market, weighted by the volume of transactions

37 Average weighted by the volume of transactions

38 The average daily stock of these deposits shrank to lei 33.9 billion in Q2 overall, from lei 40.8 billion in the previous period.

of March (Chart 3.2). Under the circumstances, the quarterly averages of these rates slowed considerably their decrease compared with the previous two quarters, shedding 0.03 percentage points for the 3M and 6M rates, to 5.85 percent and 5.93 percent respectively, and 0.10 percentage points for the 12-month maturity, to 5.99 percent.

Chart 3.3. Reference rates on the secondary market for government securities



Turning to the medium- and long-term reference rates on the secondary market for government securities[39], the second part of April witnessed hefty increases – amid the escalating Middle East conflict, but also the heightened political tensions domestically –, which were however largely corrected during the first 10-day period of May. Afterwards, these rates extended their downward adjustment, albeit at a slow pace and on a moderately winding path, only partly synchronised with the more sizeable movements in the euro area and in the region[40], reflecting the new developments in the Middle East[41], but also the domestic political situation and the associated uncertainty (Chart 3.3).

The monthly averages of the rates thus fell in June below the March levels, declining by 0.15-0.16 percentage points in the case of 6- and 12-month Treasury certificates (to 6.00 percent and 6.11 percent respectively), by 0.12-0.15 percentage points for 3- and 5-year maturities (to 6.42 percent and 6.60 percent respectively) and by 0.12 percentage points for the 10-year maturity (to 6.81 percent). Hence, the positive slope of the yield curve steepened slightly again.

Looking at the primary market[42], the total value of securities issued shrank only slightly during Q2 overall against the prior three months (by lei 1.5 billion, to lei 24.8 billion), as it recorded a moderate increase in April after the previous month's decline[43], went up

39 Bid-ask averages

40 In the US, the long-term (10-year) government security yield rose further in May, amid larger fluctuations, before consolidating at the new values in June, given also the upward revision by investors of the anticipated path for the Fed's policy rate.

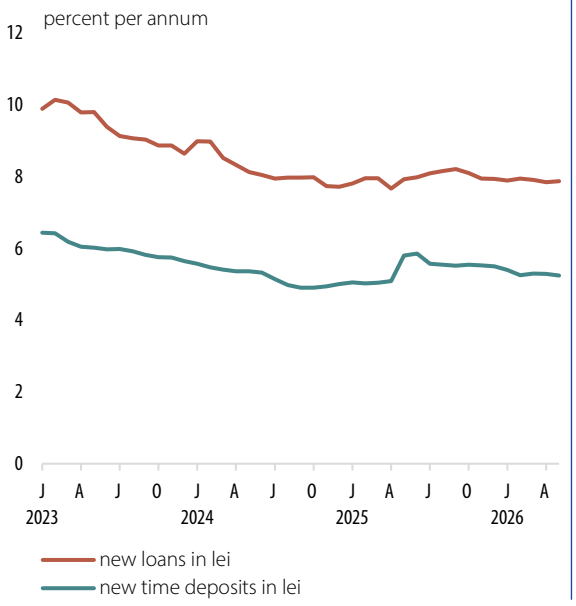
41 The initial heightening of uncertainty about the length and impact of the Middle East conflict was followed by signals on the progress of US-Iran talks, and subsequently by the signing of a memorandum of understanding providing for the cessation of hostilities, the reopening of the Hormuz Strait and the start of negotiations over the terms of a final deal.

42 During 2026 Q2, the MF's "Tezaur" programme saw the monthly issuance of government securities with 1-, 3- and 5-year maturities, at rates of: (i) 5.85 percent, 6.50 percent and 7.00 percent respectively in April, totalling lei 1.9 billion, (ii) 6.50 percent, 7.00 percent and 7.50 percent respectively in May, worth around lei 2.4 billion, and (iii) 6.30 percent, 6.90 percent and 7.40 percent respectively in June, in total amount of lei 1.9 billion. Moreover, under the "Fidelis" programme, the MF issued government securities for households as follows: (i) in April, securities both in domestic currency, with 2-, 4- and 6-year maturities, at rates of 6.60 percent, 7.10 percent and 7.60 percent respectively, worth lei 875 million, and in euro, with 3-, 5- and 10-year maturities, at rates of 4.25 percent, 5.25 percent and 6.40 percent respectively, totalling EUR 207 million; (ii) in May, government securities in lei, with 2-, 4- and 6-year maturities, at rates of 6.40 percent, 7.00 percent and 7.50 percent respectively, worth lei 298 million, and in euro, with 3-, 5- and 10-year maturities, at rates of 4.00 percent, 5.00 percent and 6.25 percent respectively, totalling EUR 80 million, (iii) in June, government securities in lei, with 2-, 4- and 10-year maturities, at rates of 6.35 percent, 6.90 percent and 7.60 percent respectively, totalling lei 442 million, and in euro, with 3-, 5- and 10-year maturities, at rates of 4.00 percent, 4.85 percent and 5.80 percent respectively, worth EUR 95 million.

43 Given that the MF rejected the primary dealers' bids submitted at the majority of auctions in March, following the significant rise in bid rates.

considerably in May, with a hefty contribution from short-term securities, and held steady in June, even amid the relative normalisation of the maturity structure. The quarterly value of net issues dropped however markedly (to lei 0.9 billion), given the sizeable rise in the volume of maturing securities (to lei 23.9 billion). During the period overall, the ratio of the amounts of bids submitted to the announced volume at auctions decreased only marginally, to 2.13 from 2.19 in the previous quarter, while the ratio of the volume of issues to the announced volume climbed to 1.32 from 0.98.

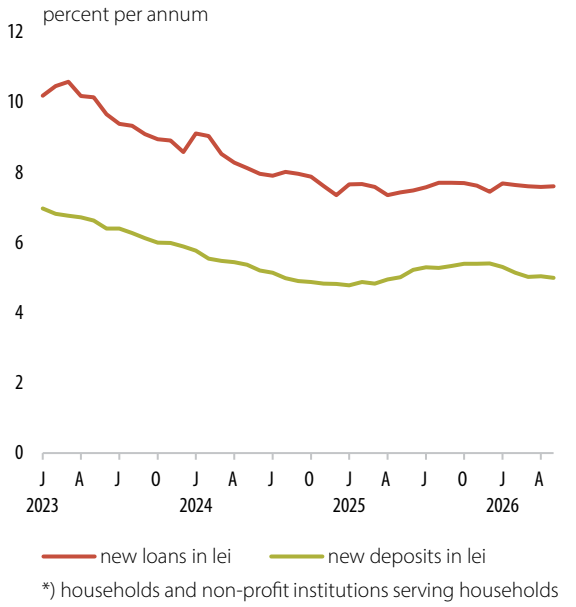
Chart 3.4. Bank rates



The average interest rate applicable to non-bank clients' new loans posted a new mild decline April through May 2026 overall (-0.06 percentage points, to an average of 7.85 percent), while the average remuneration of new time deposits slowed significantly its downward course (-0.05 percentage points, to 5.26 percent), Chart 3.4.

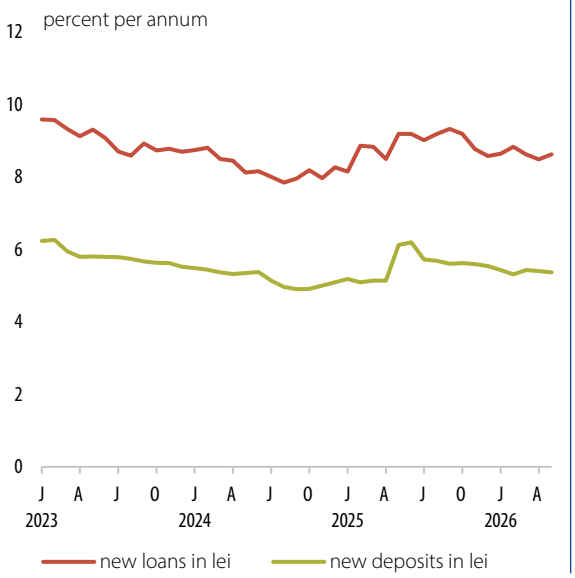
Developments were relatively homogenous from a sectoral perspective. Specifically, the average interest rate on new loans to households went down slightly (-0.05 percentage points, to 7.59 percent), thus offsetting its Q1 advance, as the average interest rate on new housing loans steepened somewhat its downward path (-0.09 percentage points, to 5.73 percent) and that on new consumer credit fell further at a relatively similar pace to Q1, shedding 0.22 percentage points, to 9.34 percent[44] (Chart 3.5).

Chart 3.5. Interest rates for households*



*) households and non-profit institutions serving households

Chart 3.6. Interest rates for non-financial corporations

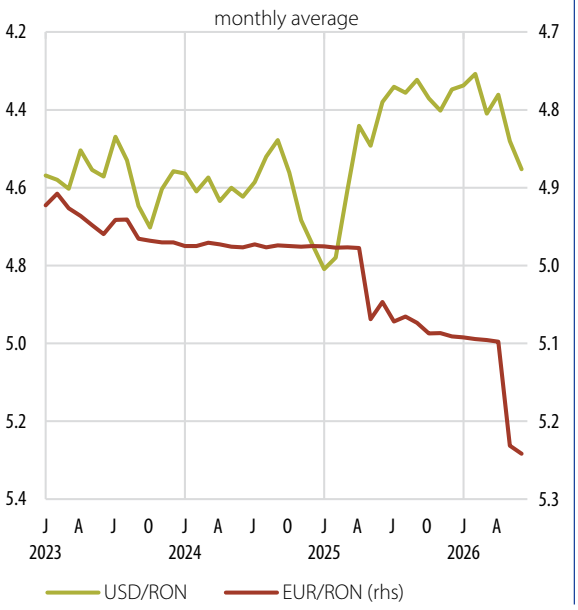


[44] In terms of monthly changes, however, interest rates on both major types of loans to households either slowed or halted their downward course during the period under review.

Looking at non-financial corporations, the average interest rate on new loans shrank further versus the previous quarter (-0.15 percentage points, to 8.55 percent), on account of developments in interest rates on both major types of loans (Chart 3.6). Specifically, the average interest rate on high-value loans, i.e. above EUR 1 million equivalent, continued to decline, albeit significantly more slowly than in the prior quarter, reaching 7.80 percent (-0.13 percentage points against the previous three months' average), while that on low-value loans, below the said threshold, resumed its downward path, falling to 8.81 percent (-0.21 percentage points).

The average remuneration of new time deposits moderated its decrease in the case of households (-0.14 percentage points versus 2026 Q1, to 5.01 percent) and halted it for non-financial corporations, staying practically put at 5.38 percent.

Chart 3.7. Nominal exchange rate



2.2. Exchange rate and capital flows

The EUR/RON exchange rate saw a significant abrupt increase at end-April 2026 and in the early days of May, which was corrected to a small extent in mid-Q2, and then it stuck to the new readings (Chart 3.7).

In the first half of April, the EUR/RON exchange rate reversed the modest pick-up it had recorded in the previous month, amid the temporary de-escalation of the Middle East conflict[45] and the ensuing improvement in global financial market sentiment. Pressures on the currency pair resurfaced however afterwards, in the context of heightened global risk aversion, following the deadlock in the negotiations for a US-Iran peace deal[46], but especially amid the stronger tensions on the domestic political stage[47]. At this juncture, the EUR/RON exchange rate re-embarked on an upward course in mid-April, before witnessing a significant abrupt rise at the end of the month and in the early days of May.

The rise was corrected to a small extent in the second 10-day period of May, after which the currency pair stuck to the new readings, amid moderate fluctuations. Its behaviour owed to shifts in global risk appetite entailed by the Middle East conflict[48] and by

45 On 8 April 2026, the United States and Iran agreed to a two-week ceasefire and engaged in talks over a peace deal.

46 The EUR/USD exchange rate reversed in the first part of April the marked decline recorded a month earlier, but decreased again slightly and then tended to stabilise around USD 1.1700 per euro.

47 On 5 May 2026, the government lost a no-confidence vote called in Parliament on 28 April.

48 The global risk appetite deteriorated in the second 10-day period of May, due to a new impasse in the US-Iran talks, conducive to heightened uncertainty about the resolution and the impact of the Middle East conflict. Subsequently, the progress in negotiations materialised in striking a preliminary deal, signed on 18 June, which provided *inter alia* for the reopening of the Hormuz Strait.

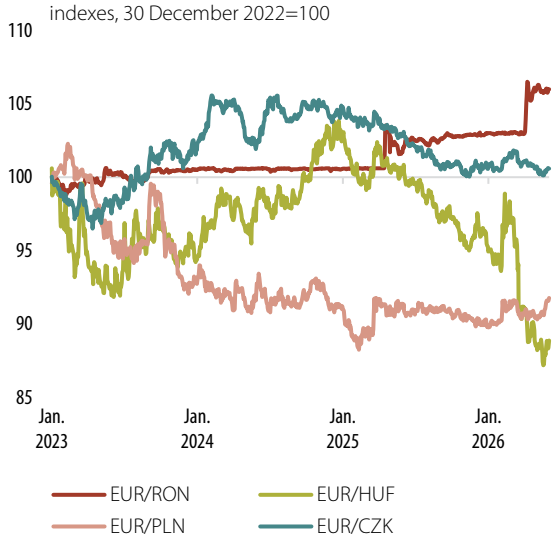
Table 3.1. Key financial account items

EUR million

	5 mos. 2025			5 mos. 2026		
	Net acquisition of financial assets*	Net incurrence of liabilities*	Net	Net acquisition of financial assets*	Net incurrence of liabilities*	Net
Financial account	-298	11,350	-11,648	20	7,254	-7,234
Direct investment	1,226	3,899	-2,673	610	2,663	-2,053
Portfolio investment	-350	5,245	-5,595	818	580	237
Financial derivatives	48	0	48	95	0	95
Other investment	3,895	2,206	1,689	-203	4,011	-4,214
– currency and deposits	4,282	-852	5,134	452	-293	746
– loans	232	1,727	-1,495	4	2,476	-2,472
– other	-619	1,331	-1,950	-659	1,828	-2,487
NBR's reserve assets, net	-5,117	0	-5,117	-1,299	0	-1,299

*) "+" increase/"-" decrease

Chart 3.8. Exchange rate developments on emerging markets in the region



Source: ECB, NBR

revised investor expectations on the outlook for the Fed's policy rate[49] – likely to prompt and then steepen the US dollar appreciation in international financial markets[50] –, but also to the domestic political developments and the associated uncertainties (Table 3.1).

In the region, the exchange rates of the major currencies versus the euro fully reversed in April the previous month's sizeable increases, partly under the influence of domestic factors, and then continued to decline relatively markedly in the case of the forint[51] and the Czech koruna[52]; in the second part of June, they went up again, reflecting primarily the strong appreciation of the US dollar in international financial markets[53, 54] (Chart 3.8).

The USD/RON pair re-embarked in mid-April and then stayed on a relatively steep upward course, in correlation with the evolution of the US currency's exchange rate on the international financial market.

The interbank forex market turnover shrank in 2026 Q2 against the prior three months, yet the overall foreign currency deficit remained unchanged at the previous quarter's higher value, while the balance of residents' transactions improved.

In 2026 Q2 as a whole, the leu weakened versus the euro by 1.8 percent in nominal terms, corresponding to an appreciation of 0.1 percent in real terms. In relation to the US dollar, the leu depreciated in both nominal and real terms, by 2.5 percent and 0.6 percent respectively. Looking at the annual change in the quarterly averages of the exchange rate, the domestic currency accelerated its pace of depreciation against the euro and halted its strengthening versus the US dollar, weakening slightly against the US currency.

49 Given the resilience of economic activity and of the labour market, as well as the pick-up in the annual inflation rate shown by newly-released statistical data. The expectations were then consolidated by the communication associated with the Fed's monetary policy decision on 17 June 2026.

50 The EUR/USD exchange rate dropped in the closing 10-day period of June to a 12-month low of USD 1.14 per euro.

51 The forint strengthened significantly against the euro, mainly amid the outcome of Hungarian parliamentary elections.

52 Given the emergence in April and the subsequent consolidation of expectations regarding the future tightening of the Czech central bank's monetary policy stance, as well as the raising of key rates by the monetary authority in June

53 The zloty strengthened in April-May, reflecting the upward revision by investors of the anticipated path of the Polish central bank's key rate, whereas in June it came under the impact of the US dollar's strong appreciation in international financial markets.

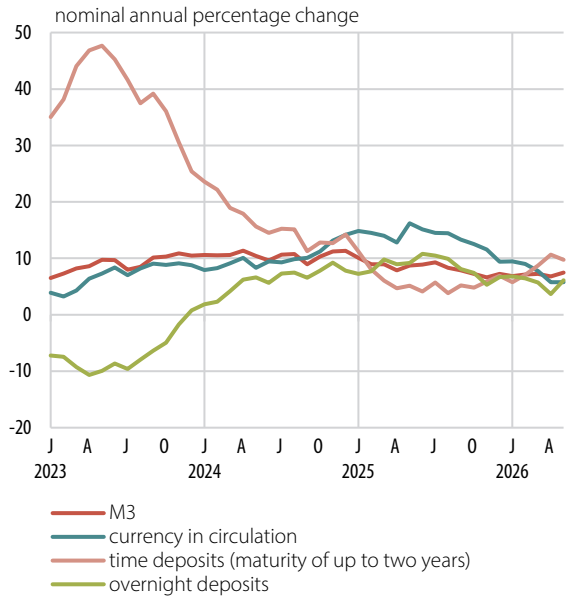
54 In 2026 Q2, the forint and the Czech koruna strengthened vis-à-vis the euro by 6.6 percent and 0.1 percent respectively, whereas the zloty weakened 0.4 percent.

Table 3.2. Annual growth rates of M3 and its components

nominal percentage change

	2025			2026		
	II	III	IV	I	Apr.	May
	quarterly average growth					
M3	8.5	8.5	7.0	7.1	6.8	7.5
M1	11.1	10.8	7.8	7.0	4.3	6.0
Currency in circulation	14.7	14.1	11.2	8.8	5.8	5.8
Overnight deposits	9.6	9.5	6.5	6.3	3.7	6.1
Time deposits (maturity of up to two years)	4.7	4.9	5.9	7.2	10.6	9.7

Chart 3.9. Main broad money components



2.3. Money and credit

Money

The annual dynamics of broad money (M3) remained April through May overall at an average similar to that seen in 2026 Q1 (7.1 percent)[55], amid the slowing improvement in the budget execution and the stronger pick-up in the growth rate of credit to the private sector, but also against the background of the drop in EU funds-related payments and the discontinued alleviation in the trade balance (Table 3.2).

Looking at the breakdown, the growth rate of broad money stalled as the developments in the main M3 components posted a renewed wider divergence in this period. Specifically, the annual rate of change of narrow money (M1) saw a much steeper downward trend[56], due largely to the faster decline in the dynamics of overnight deposits – chiefly on account of developments in households' leu-denominated deposits, as well as in the foreign currency-denominated deposits of non-financial corporations (expressed in EUR)[57] –, but also under the impact of the renewed deceleration in currency in circulation[58] (Chart 3.9).

Conversely, the annual growth rate of time deposits with a maturity of up to two years advanced noticeably faster in the first two months of 2026 Q2, climbing to double-digit levels, for the first time in six quarters, the major driver being leu-denominated deposits, whose change continued to rise relatively quickly[59], primarily on account of household deposits. A significant contribution also made the rebound in the dynamics of forex deposits (expressed in EUR)[60], combined with the statistical effect of movements in the leu's exchange rate, more pronounced in the case of households as well. Therefore, the share of M1 in M3 narrowed further, reaching 59.7 percent in May from 60.0 percent at the end of 2026 Q1.

55 Nevertheless, the real annual growth rate of M3 fell further into negative territory, reaching an average of -3.3 percent in April-May, from -2.3 percent in 2026 Q1.

56 Thus hitting a nine-quarter low

57 However, largely reflecting the base effect arising from the swifter dynamics of overnight deposits in foreign currency of households and non-financial corporations in the same year-ago period, when a currency substitution episode occurred in May 2025 amid the uncertainty surrounding the unfolding of the presidential elections. The annual growth rate of foreign currency-denominated overnight deposits (expressed in EUR) of non-financial corporations thus fell into negative territory in April-May, for the first time in seven quarters.

58 To a 13-quarter low

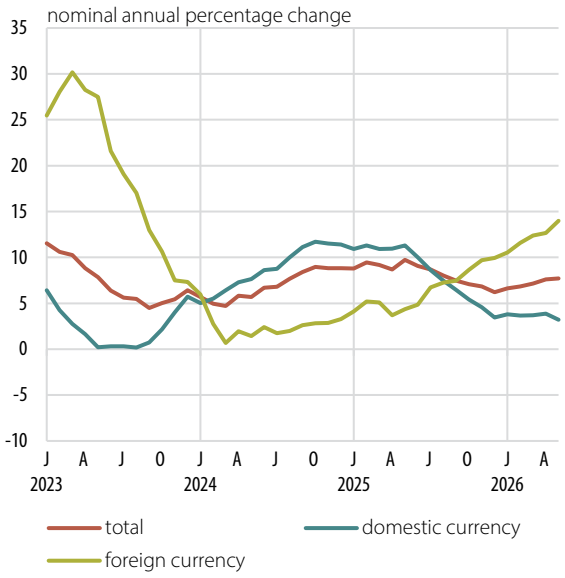
59 Reaching a six-quarter high

60 After declining for two quarters

The steady average of M3 growth rate between April and May 2026 reflected diverging developments also in terms of the main categories of holders. Specifically, the pace of increase of non-financial corporations' deposits gathered momentum in the first two months of Q2[61], in correlation with the similar developments seen in the dynamics of loans to this sector and the increase in the change of some disbursements from the government budget[62]. Nevertheless, the dynamics of household deposits continued to decline, albeit at a slow pace, remaining relatively high, given that the sharper year-on-year contraction in real disposable income was linked to the considerable drop in the change in individuals' holdings of government securities in April-May, but also with the slightly slacker decline in purchases of goods and services and the modest re-acceleration in purchases of motor vehicles and motorcycles.

From the perspective of M3 counterparts, relatively equal influences exerted, on the one hand, the further step-up in the increase in credit to the private sector and net credit to the central government and, on the other hand, the persistent advance in the dynamics of other net domestic assets[63].

Chart 3.10. Credit to the private sector by currency



Credit to the private sector

The annual growth rate of credit to the private sector saw a slightly higher advance in April-May, touching 7.7 percent[64] on average from 6.9 percent in 2026 Q1. This occurred as the dynamics of the leu-denominated component recorded a markedly slower decline that was visibly outweighed in terms of impact by the further sustained rise in the change of foreign currency credit (expressed in EUR) and by the statistical effect of movements in the EUR/RON exchange rate (Chart 3.10). Hence, the share of the leu-denominated component in credit to the private sector continued to shrink, touching 66.9 percent in May from 67.8 percent at the end of 2026 Q1.

The step-up in the dynamics of credit to the private sector was driven, this time around as well, by loans granted to non-financial corporations[65] (Chart 3.11). Their change followed, at a faster tempo, the upward trend that had resumed in 2026 Q1, amid the influences from the mildly slower annual contraction of the

61 To a six-quarter high

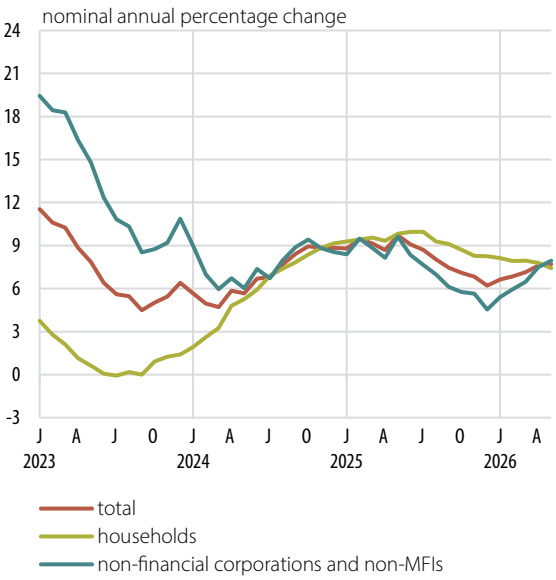
62 According to general government budget execution data in April-May 2026

63 This includes long-term financial liabilities and capital accounts.

64 However, the real annual growth rate of credit to the private sector resumed its downward trend, falling slightly deeper into negative territory, to -2.8 percent in April-May from -2.5 percent in 2026 Q1.

65 Loans to non-MFIs also made a small contribution thereto.

Chart 3.11. Credit to the private sector by institutional sector



leu-denominated component, but especially from the further step-up in the growth rate of the foreign currency component (expressed in EUR) – mainly on account of medium- and long-term loans –, as well as from the statistical effect of movements in the EUR/RON exchange rate.

Conversely, the annual pace of increase of loans to households continued to lose momentum relatively slowly[66], amid the decline in both the double-digit growth rate of leu-denominated consumer credit and loans for other purposes and the change in leu-denominated housing loans[67], whereas the statistical effect of movements in the EUR/RON exchange rate offset the impact of the mild re-acceleration in the annual contraction of the foreign currency component (expressed in EUR).

66 For the fourth successive quarter

67 The annual dynamics of actually new loans (adjusted for renegotiation operations) fell/stuck to negative territory in April-May overall for both major types of loans.

4. Inflation outlook

The annual CPI inflation rate is forecasted to follow a downward path almost throughout the projection interval, more visibly in 2026 Q3, to 5.9 percent in September, given the base effects associated with the large shocks in 2025. The indicator is projected to reach 6.1 percent in December 2026, 3.4 percent at end-2027 and 2.8 percent at the forecast horizon, i.e. 2028 Q2. Compared to the levels projected in the May 2026 *Inflation Report*, the updated path of the annual CPI inflation rate was revised upwards: by 0.6 percentage points at the end of this year, 0.5 percentage points in December 2027, and 0.3 percentage points in 2028 Q1, i.e. the previous forecast horizon.

The balance of risks to the annual inflation rate is assessed to remain tilted to the upside compared to its projected path in the baseline scenario. Stronger and persistent inflationary pressures could arise from the escalating geopolitical tensions, the protracted energy crisis and the ongoing fragmentation of international trade. An opposite impact may come from a potential sharper worsening of domestic and external demand.

1. Baseline scenario

1.1. External assumptions

Compared to the previous *Inflation Report*, the economic growth of external trading partners, as proxied by the EU effective GDP, was revised downwards to 0.8 percent in 2026 and 1.3 percent in 2027, from 1 percent and 1.4 percent respectively, amid the geopolitical uncertainty and the volatility on commodity and financial markets (Table 4.1). Over the medium term, the growth rate of the EU effective GDP will accelerate as demand recovers, assuming that the shock on energy prices is temporary. Starting with 2027, net exports are projected to make again a positive contribution to economic activity. Private consumption is expected to be the main driver of economic advance, followed by investment, which is seen further increasing at a robust pace. The cyclical component of external demand was revised downwards compared to the previous *Report*, implying wider negative values in both 2026 and 2027.

Table 4.1. Expected developments in external variables

	annual averages	
	2026	2027
EU effective GDP growth (%)	0.8	1.3
Euro area annual inflation (%)	2.9	2.3
Euro area annual inflation excluding energy (%)	2.5	2.7
Annual CPI inflation rate in the USA (%)	3.4	2.9
3M EURIBOR (% p.a.)	2.3	2.7
USD/EUR exchange rate	1.16	1.17
Brent oil price (USD/barrel)	84.0	73.3

Source: NBR assumptions based on data provided by the European Commission, Consensus Economics and Bloomberg

The annual headline inflation rate in the euro area (HICP) stepped up significantly in 2026 Q2 to 3 percent from 2.1 percent in Q1 and is expected to rise further in 2026 Q3, to 3.2 percent. Subsequently, it is foreseen to slow down and near the 2 percent threshold as of 2027 Q3, due to the fading out of the base effect associated with the Middle East conflict. Compared to the previous *Report*, the average annual HICP inflation rate in the euro area was revised upwards by 0.3 percentage points for both 2026 (from 2.6 percent to 2.9 percent) and 2027 (from 2 percent to 2.3 percent). The revision reflects the recent unexpected hikes in unprocessed food prices and core inflation rate, as well as the assumptions on higher prices of energy, derived energy products and food commodities.

The euro area HICP inflation excluding energy[68] is indirectly influenced by pressures stemming from the rises in prices of energy and derived energy products, while the shock passes through more slowly over time, having however a more persistent impact than on headline inflation. These pressures are only partly offset by the weaker aggregate demand, the softening wage pressures and the step-up in imports from economies with more competitive prices, such as China. In this context, over the medium term, the indicator is anticipated to exceed the headline inflation rate as of 2027 Q2 and remain above the latter until the forecast horizon, when it is seen standing at around 2.2 percent.

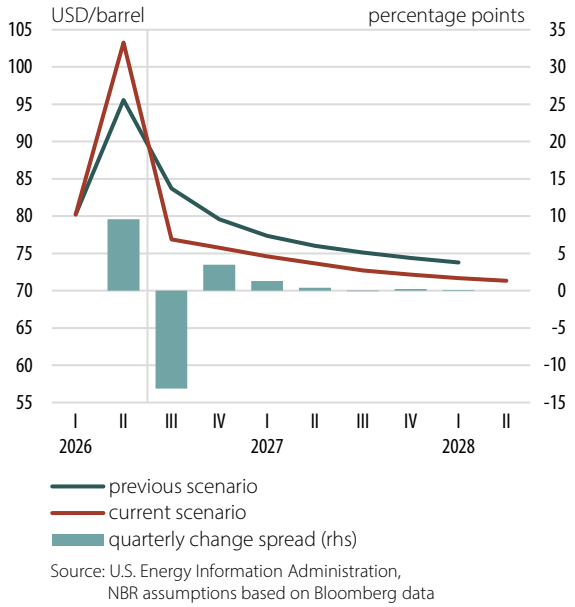
The nominal 3M EURIBOR rate is forecasted to go up slightly in the latter part of 2026, amid expectations of new increases in the monetary policy rate by the ECB. Subsequently, it is anticipated to remain relatively unchanged until the projection horizon. However, the real 3M EURIBOR rate is estimated to post negative values until the end of 2026, given the quick rise in inflation expectations in the euro area after the recent supply-side shock. Compared to the previous *Report*, the effect on the euro area economic activity is, thus, more stimulative. Afterwards, at the beginning of 2027, the real 3M EURIBOR rate is envisaged to re-enter positive territory, against the background of moderating inflation expectations, while its gap is seen exerting a restrictive impact on economic growth.

In 2026 Q2, the USD/EUR exchange rate was 1.16 US dollars per euro. The appreciation of the US dollar in June and July was supported by the expected interest rate differential vis-à-vis the euro area, by its role of a safe haven asset and by the relatively more favourable position of the US in the context of the current energy shock, given the country's status as a net energy exporter acquired in recent years. In the medium run, as shocks fade away, financial markets anticipate a gradual weakening of the US currency, to 1.18 US dollars per euro at the forecast horizon. High risks remain however in place in what concerns the emergence of new episodes of volatility.

At the end of June and in early July, the Brent oil price went down to a level similar to that recorded before the significant escalation of the Middle East conflict, due to an announced US-Iran memorandum of understanding and to prospects for gradually restoring traffic through the Strait of Hormuz. This trend has reversed, however, as of

68 A proxy for imported inflation in the case of Romania

Chart 4.1. Brent oil price scenario



Source: U.S. Energy Information Administration, NBR assumptions based on Bloomberg data

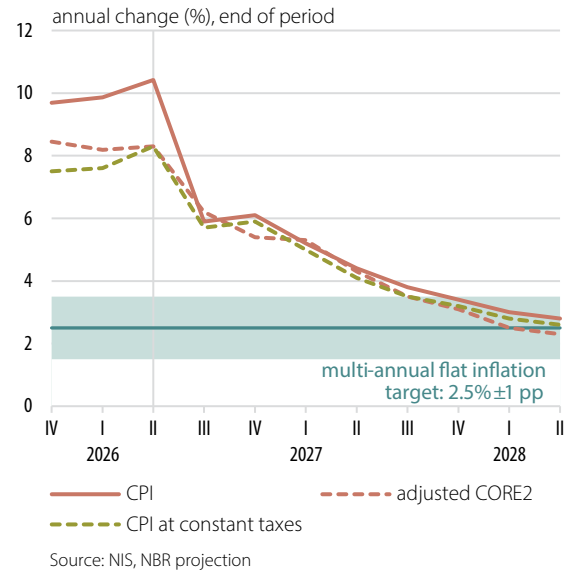
8 July, once the conflict has intensified again. The fragile ceasefire, the reinstated US blockade in the Strait of Hormuz and the resumed military operations rekindled upward pressures on oil prices.

The scenario for the Brent oil price is based on futures prices and foresees a downward path, driven by the expectations on the gradual de-escalation of the Middle East conflict, the resumption of the naval traffic through the Strait of Hormuz and the progressive normalisation of supply conditions. At the forecast horizon, i.e. 2028 Q2, the Brent oil price is projected at around USD 71.3/barrel (Chart 4.1). In the short and medium term, the oil price evolution is further fraught with the geopolitical risk pertaining to the Middle East conflict, only partly offset by the signs of weakening demand, particularly from China.

1.2. Inflation outlook

Similarly to the previous forecasting round, the baseline scenario is essentially conditioned by the assumptions on energy price developments, amid the conflict in the Middle East. The information embedded in the oil futures curve[69] suggests a partial, short-term mitigation of global supply disruptions. Over the medium term, however, crude oil prices are expected to remain higher than anticipated before the hostilities broke out, yet slightly below those used in the previous round.

Chart 4.2. CPI and adjusted CORE2 inflation forecasts



Source: NIS, NBR projection

Under the circumstances, the annual CPI inflation rate is projected to fall almost throughout the entire forecast interval but to remain above the previously anticipated trajectory (Chart 4.2, Table 4.2). In the short term, inflation will decline significantly in 2026 Q3, from 10.42 percent in June to 5.9 percent in September, primarily due to base effects associated with the shocks in July-August 2025: the electricity market liberalisation and the hikes in indirect taxes. In 2026 Q4, the annual inflation rate is seen rising slightly and temporarily, as a result of some unfavourable base effects generated by the decreases in fuel and electricity prices in October-December 2025. Starting with 2027 Q1, the indicator is projected to

69 Collected on 13 July

Table 4.2. CPI and adjusted CORE2 inflation in the baseline scenario

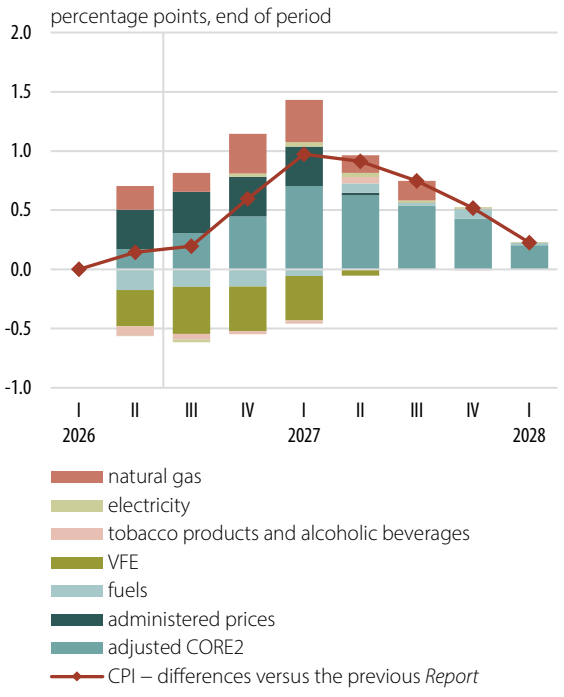
annual change (%), end of period

	2026		2027				2028	
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
Target (mid-point)	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
CPI projection	5.9	6.1	5.2	4.4	3.8	3.4	3.0	2.8
CPI projection*	5.7	5.9	5.0	4.1	3.5	3.2	2.8	2.6
Adjusted CORE2 projection	6.2	5.4	5.3	4.3	3.5	3.1	2.5	2.3
Adjusted CORE2 projection*	6.2	5.4	5.3	4.3	3.5	3.1	2.5	2.3

*) calculated at constant taxes

Source: NBR projection

Chart 4.3. Decomposition of the annual CPI inflation rate, differences versus the previous *Report*



Source: NBR projection

resume a gradually downward path, supported by the disinflationary impact of fiscal consolidation and by the progressive dissipation of recent shocks. The direct effects of the conflict in the Middle East, immediately noticeable in fuel prices, are expected to influence the annual inflation rate for 12 months, before fading out. By contrast, indirect effects pass through gradually along production and distribution chains, build up as they propagate in the economy and dissipate more slowly over the medium term. The impact of the recent depreciation of the leu is envisaged to have a similar profile, i.e. to strengthen gradually before abating. These influences are complemented by the decline in inflation expectations. Under the circumstances, the annual CPI inflation rate is projected to reach 6.1 percent in December 2026, 3.4 percent at end-2027, and 2.8 percent at the forecast horizon, i.e. 2028 Q2. The indicator is expected to return inside the variation band of the target in 2027 Q4. The breakdown shows that disinflation over the medium term is supported by the energy component – fuels, electricity and natural gas – and by core inflation.

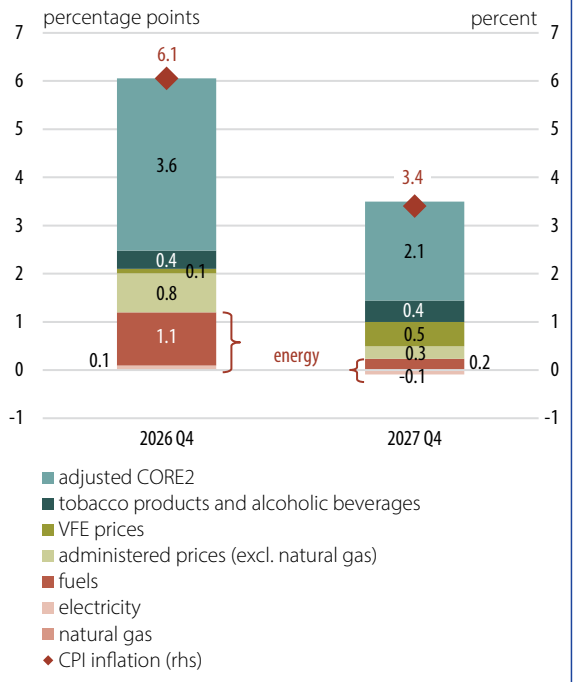
Compared to the values published in the May 2026 *Inflation Report*, the updated path of the annual CPI inflation rate was revised upwards throughout the projection interval. Significant additional contributions come from core inflation, which is expected to return inside the variation band of the target more slowly than in the previous round. To a smaller extent and primarily in the first part of the projection interval, the revision also reflects the dynamics of natural gas prices[70], amid recent developments and the assumption of price hikes in the next cold season, as well as those of administered prices, following the increase in rents for state-owned housing in April 2026. The contributions of volatile food (VFE) prices and fuel prices were revised downwards (Chart 4.3). Hence, the annual CPI inflation rate is projected to be higher than previously anticipated by 0.6 percentage points at end-2026, by 0.5 percentage points in December 2027 and by 0.3 percentage points in 2028 Q1, i.e. the horizon of the previous forecast.

70 The baseline scenario is conditional on the assumption for the dynamics of final natural gas prices after the expiry, on 31 March 2027, of the protection measures for household consumers provided by the legislation in effect. Given the repeated extensions of the protection schemes in the past, the current forecast does not take into account any effects of a possible market liberalisation after the expiry of the current scheme. See also Section 2 Risks associated with the projection.

The annual adjusted CORE2 inflation rate is projected to decline over the entire forecast interval, with a stronger correction in 2026 Q3, mainly ascribable to the base effects associated with the rise in indirect taxes in 2025. Specifically, the indicator is forecasted at 5.4 percent for end-2026, 3.1 percent for December 2027 and 2.3 percent for June 2028 (Chart 4.2).

In the first part of the projection interval, the path of core inflation includes several temporary influences: the recent depreciation of the leu, specific price increases for telecommunication services in July 2026 and for compulsory motor third-party liability insurance policies in 2026 Q3, as well as the removal of the cap on the mark-up on basic food products as of January 2027[71]. To these add the indirect effects of the energy shock, passing through mainly via energy and transport costs.

Chart 4.4. Contributions of components to annual CPI inflation rate*



*) end of period; values have been rounded off to one decimal place

Source: NBR projection

Over the medium term, disinflation is underpinned by the gradual fading-out of these shocks, by the restrictive effects of fiscal consolidation, by the adjustment of inflation expectations, and by the significant slowdown in wage cost dynamics. The growth rate of import prices is projected to pick up slightly until 2027 Q1, before decelerating in line with the expected path of annual HICP inflation excluding energy in the euro area and with the annual movements of the EUR/RON exchange rate. As regards the groups of goods relevant to the developments in domestic inflation, the conditions on international agri-food markets are seen as relatively benign, in spite of more unfavourable prospects for fertiliser prices. By contrast, some pressures persist in certain commodity segments, such as petrochemical products and industrial metals, with an impact especially on the prices of non-food items.

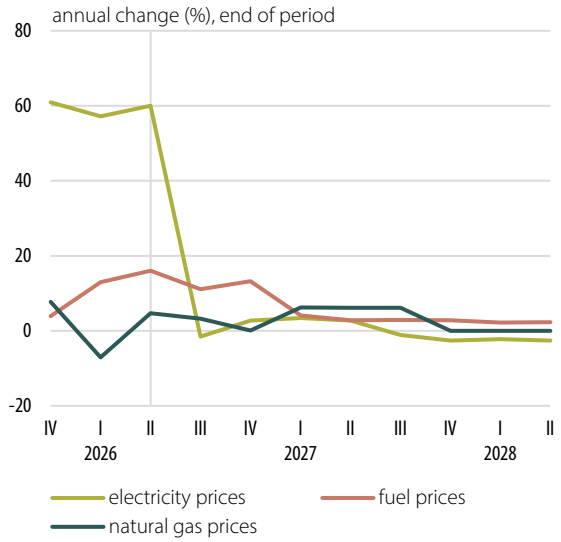
As in the case of the annual CPI inflation rate, the path of annual core inflation was also revised upwards compared to the projection in the previous *Report*. The updated values are higher by 0.6 percentage points for both end-2026 and end-2027 and by 0.3 percentage points for March 2028. This revision reflects the above-mentioned temporary influences, as well as those exerted by the import prices of some non-food items. These are complemented by the persistent inflationary pressures in the case of some labour-intensive services and, over the medium term, by the reassessment of the output gap at less negative values[72].

71 The cumulative impact of the said factors on the annual adjusted CORE2 inflation rate is estimated at approximately 0.5 percentage points for end-2026 and 0.2 percentage points for end-2027; however, these assessments are marked by high uncertainty.

72 For details, see Section 1.3. Demand pressures in the current period and over the projection interval

The cumulative contribution of the exogenous components of the consumer basket to the annual CPI inflation rate is estimated at 2.5 percentage points at end-2026, up by 0.2 percentage points compared to the May 2026 *Inflation Report*. This is expected to drop to 1.4 percentage points in December 2027, a value that was revised upwards by 0.1 percentage points, and to moderate marginally until the projection horizon, i.e. June 2028 (Chart 4.4). The upward revision for end-2026 is mainly driven by the more unfavourable developments in administered prices, including natural gas prices. These effects are partly offset by the downward revision of contributions from volatile food (VFE) prices and fuel prices.

Chart 4.5. Inflation of fuel prices and of electricity and natural gas prices



Source: NIS, NBR projection

The conflict in the Middle East[73] and the energy shock it generated stood behind the annual dynamics of fuel prices in 2026 H1, which posted increases well above the upper bound of the variation band of the central target.

The recent more favourable developments notwithstanding, the annual inflation rate for fuels is anticipated to remain at two-digit levels until March 2027 (Chart 4.5, Table 4.3). Subsequently, once the energy shock drops out of the calculation, the indicator will decline significantly. Compared to the previous *Report*, the annual dynamics of fuel prices were revised downwards for the second half of 2026 and 2027 Q1. The revision reflects both the relatively more favourable assumptions about oil prices and the greater-than-expected impact of the measures adopted[74] by the authorities to contain motor fuel prices[75]. Starting with 2027 Q2, amid the stabilisation in oil futures prices, the annual growth rate of fuel prices is forecasted to return to the variation band of the central target.

The annual growth rate of electricity prices in July 2026 is influenced by the dropping out of the calculation of the substantial inflationary impact of the market liberalisation in 2025. In the short term, slight price hikes are anticipated, in line with suppliers' current offers[76]. Over the medium term, the forecast is shaped by the exogenous path of the wholesale electricity price, based on futures prices. These point to a mild

73 For further details, see Section 1.1. External assumptions

74 GEO No. 19/2026 sets forth the capping of the mark-up on petrol and diesel at the average level charged in 2025 by each company. In addition to the aforementioned ordinance, a bani 30 cut in the excise duty on diesel fuel per litre, from lei 2.8, was also implemented for April-June 2026 (an estimated impact of 0.7 percentage points on the dynamics of fuel prices and 0.06 percentage points on CPI growth rate). The authorities have recently adopted, after the completion of the NBR's macroeconomic projection, a new measure to limit diesel prices, via a dynamic reduction in the excise duty, depending on pump and wholesale prices, applicable until 31 October 2026. Assessments suggest that maintaining current diesel prices over the next three months would entail a similar impact on CPI to that exerted by the cut in the excise duty in April-June 2026.

75 The recent damage to Russia's oil refining infrastructure, as a result of the war with Ukraine, led to rising pressures on diesel prices both locally and globally.

76 Information compiled using the price comparison tool of the Romanian Energy Regulatory Authority and also in line with the seasonal pattern of wholesale electricity prices

Table 4.3. Inflation of exogenous CPI components

annual change (%), end of period

	Dec. 2026	Dec. 2027	Jun. 2028
Energy prices	8.3	1.0	0.7
Fuel prices	13.2	2.8	2.3
Electricity prices	2.7	-2.6	-2.6
Natural gas prices	0.1	0.0	0.0
VFE prices	1.6	8.6	8.7
Administered prices (excl. natural gas)	12.3	3.9	3.9
Tobacco products and alcoholic beverages prices	5.4	6.3	6.1

Source: NBR projection

market easing in early 2027, in correlation with the developments expected for energy goods overall, including oil and natural gas. Under the circumstances, the group's annual growth rate is foreseen to fluctuate in the first part of the projection interval, before posting slightly positive values at end-2026 and slightly negative values in the second part of the interval (Chart 4.5, Table 4.3). Compared to the previous *Inflation Report*, the trajectory was revised mildly upwards over the entire forecast interval, more substantially in the second half of 2026 and in the first part of 2027. The revision mainly reflects the incorporation of some consumer price hikes in the short term.

The annual dynamics of natural gas prices in 2026 H2 and 2027 Q1 reflect both the effects of the support scheme for household consumers[77] (Chart 4.5, Table 4.3) and the evolution of import prices. The latter become relevant especially during the cold season, when domestic production cannot fully cover consumption. Recently, the unexpected hike in the prices for transport and storage in April 2026 boosted the group's growth rate, which thus re-entered positive territory. At the same time, under the assumption of an increase in the natural gas purchase price in the cold season, the forecast envisages an additional rise in final prices in 2026 Q4. Under the circumstances, compared to the previous *Inflation Report*, the group's annual pace of increase was revised upwards until 2027 Q3. After the fading out of the statistical effect of price hikes expected for the next cold season, the projection maintains dynamics similar to the previous round, with minor price changes, in the absence of reliable information on new measures to be taken by the authorities or on suppliers' offers.

The annual growth rate of administered prices (excluding natural gas)[78] is expected to reach two-digit levels in 2026 H2. This mainly reflects the unexpected update in April in rents for state-owned housing[79], to which added the recent price increases for water, sewerage and waste disposal, unforeseen in the previous *Report* (Chart 4.6, Table 4.3). Over the second half of the projection interval, the annual pace of increase of this component is anticipated to stabilise at levels broadly in line with the previous forecast, as it is based on the historical pattern of changes to the prices of this group's main items.

The VFE price group followed a more favourable path during 2026 Q2 (Chart 4.7, Table 4.3) due to the bumper crops on the local and European markets, in spite of the recent adverse weather episodes. Specifically, the annual VFE inflation rate is expected to stay temporarily in negative territory in 2026 Q3 as well, and to post values below

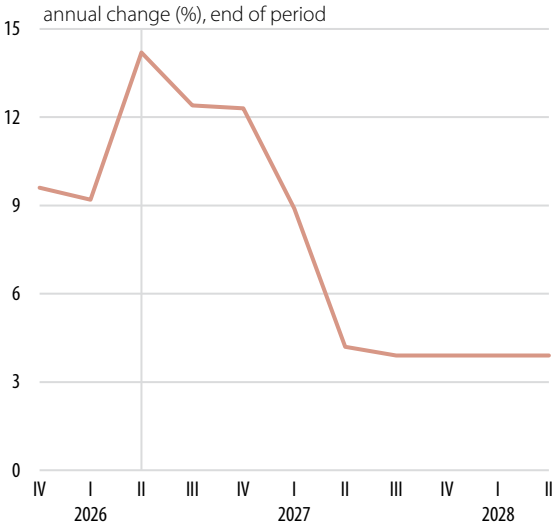
77 Pursuant to GEO No. 12/2026, the support scheme for households introduces changes to the setting mechanism of the final price for natural gas consumption. Thus, the price charged to household consumers is the lower of the contract price and the final price calculated for each month. The latter depends on the wholesale purchase price, which, for domestically-produced natural gas, was capped at lei 110/MWh, a level significantly lower than the current free market price, of over lei 200/MWh.

78 About 80 percent of the weight of this group is accounted for by medicines and water, sewerage and waste disposal.

79 These were raised based on the cumulative inflation rate since 2007 – the time of the last update –, which determined a monthly growth rate of 140.48 percent in April 2026, with a 0.3 percentage point impact on the CPI inflation rate.

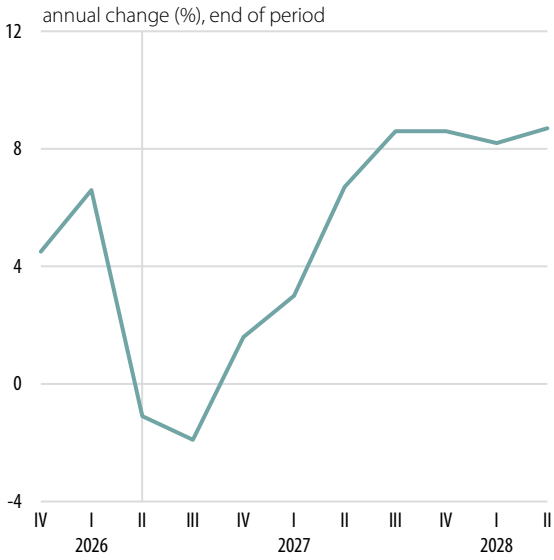
the central target in 2026 Q4. Compared to the previous *Report*, the trajectory was revised significantly downwards for the first part of the projection interval. Subsequently, similarly to the preceding round, the annual growth rate is foreseen to return above the upper bound of the variation band of the target, in line with its historical evolution.

Chart 4.6. Administered price inflation (excl. natural gas)



Source: NIS, NBR projection

Chart 4.7. VFE price inflation



Source: NIS, NBR projection

The path of the annual dynamics of tobacco product and alcoholic beverage prices is shaped primarily by higher excise duties provided for in the legislation, but also by the price-setting behaviour of companies in this field. The annual dynamics of the group are projected to exceed the upper bound of the variation band of the target throughout the projection interval (Table 4.3). Compared to the prior *Inflation Report*, the forecast for end-2026 was revised downwards, given that cigarette prices remained unchanged in April 2026, despite the excise duty hike[80], whereas for end-2027 and 2028 Q1 the projection is similar.

1.3. Demand pressures in the current period and over the projection interval

The output gap

In 2026 Q1, real GDP stalled in quarterly terms[81], in line with the expectations in the previous *Report*. The breakdown, however, revealed some differences compared to the prior assessment. While the actual individual consumption of households and exports posted developments largely as expected, gross fixed capital formation witnessed a slight, albeit surprising contraction, while imports increased, contrary to the projection and despite the actual path of domestic demand.

80 However, some tobacco companies raised the price of a packet of cigarettes by leu 1 in July 2026.

81 According to NIS Press Release No. 173 of 9 July 2026 regarding second provisional data on GDP

Short-term forecasts indicate, in terms of quarterly dynamics, a further near-stagnation of real GDP in 2026 Q2 and a robust rebound in Q3. In Q2, economic activity is estimated to have been affected by the Middle East conflict, against the backdrop of mounting geopolitical tensions as early as March. In the context of persistently high inflation, the sharp increase in fossil fuel prices further eroded households' real disposable income. Alongside the fiscal consolidation measures already in force, this effect contributed to subdued developments in trade and services, a signal also confirmed by turnover data for the first two months of the quarter. Domestic demand was also dampened by the still somewhat unfavourable labour market conditions, as well as by the worsening confidence of economic agents, including amid domestic political uncertainty. Furthermore, the global nature of the shock stemming from the Middle East conflict implies that its effects also spill over to international trade. On the one hand, the shock weighs on external demand for Romanian goods, which is already modest, given *inter alia* the competitiveness challenges facing the domestic economy. On the other hand, by eroding households' purchasing power, it also restrains domestic demand for imported goods and services. On the upside, economic activity is envisaged to continue to be supported by the absorption of EU funds[82]. For 2026 Q3, the outlook for stronger quarterly dynamics of real GDP is underpinned by several factors: (i) the partial fading-out of the inflationary shock, including due to lower oil prices under the baseline scenario following the easing of the conflict in the Persian Gulf region; (ii) the favourable effect of the minimum wage increase effective 1 July; (iii) the continued favourable dynamics of investment, supported by the approaching August 2026 deadline for completing the NRRP milestones and targets; and (iv) the positive prospects for the agricultural sector, particularly grain production. However, the persistence of domestic political tensions could impair the absorption of EU funds, especially those available under the NRRP, and might further weaken confidence in the economy in Q3[83]. At the same time, the renewed escalation of the Middle East conflict in July could reignite inflationary pressures via energy goods.

On an annual average basis, economic growth is expected to be significantly lower in 2026 than in 2025 and to pick up markedly in 2027. The developments in real GDP this year continue to be driven mainly by three factors: (i) the cumulative effects of fiscal consolidation measures, (ii) the persistently high inflation, including against the backdrop of conflict in the Persian Gulf region, and (iii) the strongly unfavourable statistical carry-over effect of -1.3 percentage points, generated by the significant contraction in economic activity in late 2025. Compared with the previous *Report*, the 2026 growth forecast has been revised downwards, reflecting the deteriorating outlook for real GDP dynamics in Q2 and the smaller favourable impact of the Next Generation EU programme, according to the latest version of the renegotiated NRRP. For 2027, the acceleration in economic growth is underpinned by: (i) the gradual improvement in labour market conditions, (ii) the progressive easing of the fiscal

82 The exceptionally strong increase in construction works in the first two months of 2026 Q2 versus Q1 (+10.1 percent) is indicative in this respect. A complementary factor behind the step-up in construction, as far as residential construction is concerned, may have been the approaching deadline for the purchase of dwellings eligible for the reduced VAT rate, subject to specific conditions. It should be noted that, at end-July, Parliament adopted Law No. 450/2026 extending the deadline from 31 July 2026 to 30 September 2026.

83 Nevertheless, according to the July DG ECFIN survey, the ESI recorded a slight month-on-month improvement, reflecting primarily a less pessimistic consumer sentiment.

policy's restrictive nature, (iii) the ongoing disinflation, (iv) the assumption that global supply chains will normalise over time, and (v) the persistent effects of the leu depreciation recorded in May 2026, gradually transmitted through contributions to improved external competitiveness and stronger net exports. Compared with the prior *Report*, the forecast has been revised only mildly upwards, mainly mirroring the less restrictive contributions from the fiscal impulse and real broad monetary conditions. Over the medium term, the real GDP path remains subject to heightened uncertainties, particularly with regard to the pace of fiscal consolidation, the developments in the Middle East conflict and the stance of global trade policies.

The estimated average annual dynamics of potential GDP were revised downwards for 2026 and 2027 against the previous *Report*. This revision reflects the more subdued short-term outlook for economic activity and the smaller contribution of financing under the Next Generation EU programme, in the context of the NRRP renegotiation and the partial reduction of the loan component. This limits the resources available to finance additional projects, with implications for capital accumulation and productivity across the economy. At the same time, the contribution of labour is slightly lower, amid less favourable developments of the labour market, including a temporary increase in the unemployment rate in 2026 Q1.

The key driver of potential GDP growth continues to be capital accumulation, with a relatively stable contribution over the projection horizon. The outlook for this component is supported by the dynamics of public investment and by foreign direct investment inflows[84]. Under the circumstances, the absorption of EU funds to the greatest possible extent, especially those under the NRRP, turns to be essential for mitigating the effects of the adverse shocks on the economy, as well as for supporting structural reforms, energy transition included. The contribution of total factor productivity remains modest, being impacted by the slow-paced innovation and take-up of new technologies, the delays in technology integration and energy efficiency, and by the companies' insufficient use of digital solutions[85]. The contribution of labour is projected to record marginal values, given the unfavourable demographic trends and structural labour market rigidities, including the high inactivity rate among young people[86]. Over the medium term, the path of potential GDP remains marked by high risks. On the external front, the persistent geopolitical and trade tensions could weigh on international trade and trigger new disruptions in global supply chains. On the domestic front, uncertainties are associated mainly with the effects stemming from fiscal and budgetary adjustment measures and the still unstable political environment.

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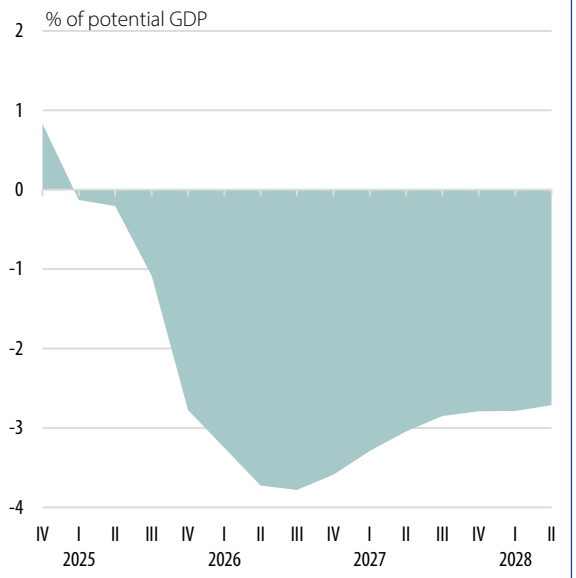
84 According to the *EY Attractiveness Survey Romania 2026*, the number of projects recorded a 16 percent increase nationwide in 2025, in contrast to the overall developments in Europe, where it declined by 7 percent from the previous year. The data show that the positive dynamics in 2025 were driven primarily by the expansion of operations by investors already present on the domestic market: the number of expansion projects rose from 31 to 60, accounting for 55 percent of the total number of announced foreign direct investment projects. Investor sentiment remains favourable, although characterised by a higher degree of caution.

85 The *2026 European Innovation Scoreboard* (EIS) continues to classify Romania as an Emerging Innovator, ranking last, with a performance level amounting to 41.8 percent of the EU average, despite the incremental progress achieved in recent years. According to the Oxford Insights' *Government AI Readiness Index 2025*, Romania ranks 57th out of 188 countries, with a slightly lower score than in the previous year in terms of its capacity to adopt and integrate artificial intelligence into the public sector and the economy. Moreover, in 2025, only 53.3 percent of young people aged 16 to 24 in Romania possessed at least basic digital skills, well below the EU average of 74.6 percent.

86 The share of young people aged 16-29 neither in employment, nor in education and training (NEET) further posted the highest value in the EU in 2025, i.e. 19.2 percent compared to the 11 percent EU average.

Against the backdrop of an expected weak domestic demand, the output gap is projected to widen into negative territory in 2026 Q2 and Q3. Thereafter, it will progressively narrow as the restrictive impact of the fiscal impulse diminishes and the adverse effect of the real effective exchange rate on export competitiveness eases. At the same time, external demand remains modest, but its restrictive influence on economic activity gradually wanes. Compared to the previous round, the output gap is assessed to be more negative in 2026 Q2-Q4, on the back of the worsened short-term economic outlook. From 2027 onwards, however, its magnitude is projected to be smaller, due mainly to the easing of the restrictive effect stemming from the overvaluation of the leu in real terms and from a still unfavourable, but less strong, fiscal impulse (Chart 4.8).

Chart 4.8. Output gap



Source: NBR assessments

Looking at the components of the output gap, its dynamics are mainly driven by the developments in the gap of households' actual individual consumption. Fiscal measures significantly diminish the real disposable income of households – both directly, via nominal adjustments in incomes and transfers, and indirectly, through the higher inflation rate associated with the hikes in indirect taxes and the expiry of the electricity price capping scheme. These effects are compounded by the impact of the Middle East conflict, through higher motor fuel prices and, indirectly, via the pass-through of increased energy costs along production and distribution chains. Moreover, heightened uncertainty is likely to reinforce households' cautious behaviour. Consequently, the gap of households' actual individual consumption will continue to widen and reach a low in 2026 Q2, followed by a slight narrowing until the projection horizon, i.e. 2028 Q2. In turn, the negative GFCF gap is assessed to have bottomed out in 2026 Q1, before gradually closing to marginally negative values until the forecast horizon. Mirroring the dynamics of effective external demand, the gap of exports reaches its trough in 2026 Q2 and narrows slightly thereafter. In turn, the negative gap of imports will progressively diminish over the projection interval, in line with the developments in the gap of households' actual individual consumption.

The output gap fundamentals previously identified continue to be relevant: (i) the fiscal impulse, which is assessed to further exert a large restrictive impact in 2026, given the overlapping effects of several fiscal consolidation packages and (ii) the persistence and even short-term widening of the negative gap of external demand, *inter alia* due to the Middle East conflict. In parallel, real broad monetary conditions remain restrictive for the economic activity almost throughout the entire forecast interval. These developments reflect the prudent stance of monetary policy in a still highly volatile inflationary environment.

Aggregate demand components

This year, households' actual final individual consumption is anticipated to witness a contraction in annual terms, undergoing a downward revision compared to the prior round. After three consecutive quarters of decline as of mid-2025, the outlook remains unfavourable, at least for 2026 Q2. The developments reflect the erosion of household purchasing power amid fiscal measures and the still high inflation rate. At the same time, the actual final collective consumption of general government is anticipated to fall both this year and the next, in the context of fiscal consolidation. Starting with 2026 H2 and throughout 2027, households' actual final individual consumption is anticipated to gradually resume a growth path, as pressures on real income ease. However, the recovery remains uncertain, given the difficulty in assessing the persistence of the impact of fiscal consolidation measures on disposable income. Moreover, the international environment continues to be a major source of risks. Geopolitical tensions and potential shifts in global trade policies may affect trade flows and may trigger new disruptions in global supply chains.

Gross fixed capital formation is foreseen to remain the key driver of economic growth in the current year, as fiscal consolidation measures have a smaller direct impact on investment. The developments in this component are, nonetheless, conditional on business confidence, on the foreign investors' appetite for assets in Romania, and on the authorities' capacity to attract and efficiently deploy EU funds. Domestic political tensions may delay some investment decisions and may hinder the implementation of reforms or of projects that are in early stages of execution.

The growth rate of exports of goods and services is anticipated to decelerate this year, with a gradual rebound thereafter over the forecast interval, amid a still weak external demand. Compared to the previous round, the projection for the current year was revised downwards, including on account of the effects of the Middle East conflict on global demand. Over the medium term, exports remain exposed to risks associated with geopolitical tensions, shifts in trade policies and potential disruptions in supply chains. Moreover, the real effective exchange rate, deflated by the CPIs of Romania and its trading partners, is envisaged to remain overvalued until the projection horizon, exerting an adverse impact on the price competitiveness of exports, albeit to a lesser extent than in the prior assessment.

Imports of goods and services are projected to post moderate dynamics in 2026, amid fiscal consolidation and weaker domestic demand, consumption in particular. In 2027, imports are foreseen to accelerate in line with the domestic demand rebound. Under these circumstances, the negative contribution of net exports to economic growth is forecasted to improve in the current year and remain at a similar level in 2027.

The current account deficit is anticipated to further gradually adjust over the projection interval, supported by the weaker domestic demand due to fiscal consolidation. However, the Middle East conflict and the higher import prices for energy and chemical products, including fertilisers, may slow this year's correction. Subsequently, the start of natural gas extraction in the Neptun Deep block is expected to provide marginal support to the adjustment, both by increasing exports and by reducing the need for imports to meet domestic consumption. Over the medium term, the external deficit

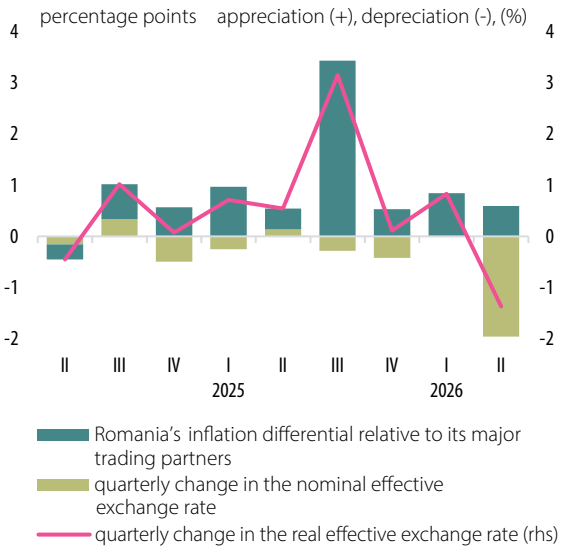
correction is seen to occur relatively slowly amid persistent structural imbalances, while new disruptions in international trade or critical infrastructure could delay this process.

The financing of the current account deficit from stable, non-debt-creating sources is anticipated to remain favourable this year, supported by inflows of EU funds under the NRRP and the 2021-2027 MFF. The coverage of the external deficit from such sources is expected to decline thereafter, following the NRRP completion this year. As regards foreign direct investment, heightened global uncertainty and the effects of fiscal consolidation may keep investors cautious during 2026.

Broad monetary conditions

According to the transmission mechanism, broad monetary conditions capture the cumulative impact exerted on future developments in aggregate demand by the real interest rates applied by credit institutions on leu- and foreign currency-denominated loans and deposits of non-bank clients, and by the real effective exchange rate of the leu. The latter exerts its influence via the net export channel, as well as via the companies' wealth and balance sheet effect.

Chart 4.9. Quarterly change in the real effective exchange rate



Source: Eurostat, U.S. Bureau of Labor Statistics, NBR, NBR calculations

Real broad monetary conditions are envisaged to temporarily reverse their restrictive nature between 2026 Q2 and Q4, thus becoming quasi-neutral or slightly stimulative. The developments primarily reflect the easing of the restrictive nature of the leu's real effective exchange rate gap, against the background of the depreciation in nominal terms recorded in May 2026 (Chart 4.9), temporarily supplemented by the wealth and balance sheet effect. Starting with 2027 Q1, real broad monetary conditions are projected to turn restrictive again, mainly on account of the increase in real interest rates on new leu-denominated time deposits and new loans, amid the downward correction in inflation expectations. Compared with the previous *Report*, real broad monetary conditions are assessed to be significantly less restrictive, against the backdrop of the weaker adverse effect of the overvaluation of the leu's real effective exchange rate on net exports.

The developments in real broad monetary conditions mirror the transmission into the economy of the NBR Board's monetary policy decisions, with a view to bringing the annual inflation rate back in line with the 2.5 percent ±1 percentage point flat target on a lasting basis, *inter alia* by anchoring medium-term inflation expectations in a manner conducive to achieving sustainable economic growth.

Looking by component, the real effective exchange rate will continue to exert restrictive effects on the price competitiveness of Romanian products, albeit to a lesser degree compared to the prior *Report*, with the impact being transmitted via the net export channel. At the same time, the influences associated with the gaps of real interest

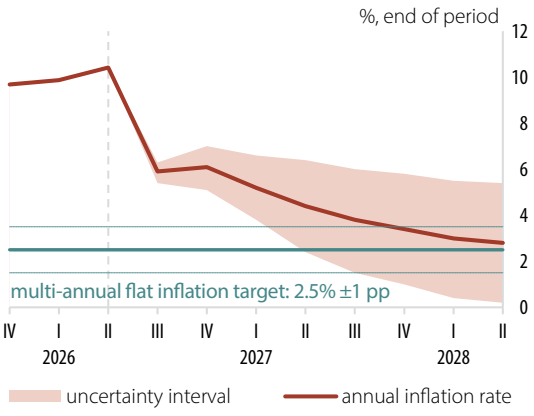
rates on new loans and new time deposits are projected to remain stimulative, although gradually weakening throughout the projection interval.

The wealth and balance sheet effect is assessed to entail a temporary marginal stimulative impact in 2026 Q3, on account of both the real foreign interest rate and the leu's real effective exchange rate gap. Subsequently, as of 2027 Q1, it will become restrictive again, given the real foreign interest rate turning positive. The sovereign risk premium is forecasted to continue to exert a restrictive influence, reflecting both the recent geopolitical tensions and the domestic political uncertainties. Moreover, the cumulative effect of the leu's real effective exchange rate gap, transmitted via the wealth and balance sheet channel, is envisaged to be quasi-neutral over the entire projection interval.

2. Risks associated with the projection

The balance of risks is further assessed as tilted to the upside compared to its path in the baseline scenario (Chart 4.10), in spite of the latter already incorporating upward revisions caused by the materialisation of some risk factors pointed out in the previous *Report*. The international environment continues to be marked by high uncertainties, amid protracted and heightened geopolitical and trade tensions. On the domestic front, political tensions may affect confidence, financing conditions and the capacity to implement fiscal measures and the reforms committed to. At the same time, disinflationary risks persist, associated with a possibly stronger drop in domestic and external demand.

Chart 4.10. Uncertainty interval associated with inflation projection in the baseline scenario



Note: The uncertainty interval was calculated based on the annual CPI inflation forecast errors in the NBR projections during 2005-2025. The magnitude of forecast errors is positively correlated with the time horizon they refer to.

Source: NIS, NBR calculations and projections

Ceasefire agreements and negotiated solutions suggesting a possible de-escalation of the Middle East conflict proved fragile, being followed by repeated violations and further trade disruptions through the Strait of Hormuz. In addition, an extension of geopolitical tensions in the Gulf region could amplify and prolong the direct and indirect adverse effects of the conflict as compared to the baseline scenario. The risk is all the more relevant in the event of energy, logistics, trade and financial shocks overlapping, as their cumulative effects may become non-linear.

The protraction of the energy crisis could lead to additional inflationary pressures. Recent developments in the Red Sea point to risks for other strategic routes too, such as the Bab el-Mandeb Strait. Damage to the critical energy infrastructure, refining and transport capacities or insurance services could keep oil and energy prices at high levels. Additional risks also stem from the Russia-Ukraine war, including via attacks on Russian refineries or oil terminals. For Romania, the possible disruptions of crude oil deliveries from Kazakhstan, the main supplier of crude oil imports, through the Caspian

Pipeline Consortium's maritime terminal, are also relevant. Although deliveries have recently resumed, in the future the risk remains important, given the high dependence on this source and the likelihood of new logistical or security disruptions. As for diesel, vulnerabilities are more pronounced because it holds a significant share in domestic consumption, is more dependent on imports and, in particular, is more exposed to supply sources in the Gulf. Potential supply squeezes, logistical hardships or increases in refining margins would feed through both directly, to pump prices, and indirectly, through steeper costs in transport, agriculture and industry.

In the case of natural gas, the currently lower storage level compared to those in the previous years, along with the persistence of the adverse effects of geopolitical tensions, amplifies the uncertainties around the capacity to reach a satisfactory level for the next cold season. Over the medium term, risks are partly mitigated by the diversification of supply sources, including through the EU's expansion of liquefied natural gas import capacities and, on the domestic front, by the prospects to start gas extraction in the Neptun Deep block in 2027. This could diminish Romania's vulnerability to new external shocks on the natural gas market, without, however, completely eliminating the inflationary risk associated with the expiry, in April 2027, of the protection scheme for household consumers that could trigger a significant inflationary shock[87]. In such a context, the continuation of the current scheme or its replacement by another form of support cannot be ruled out.

The disruptions in international trade have also affected other categories of goods, especially chemicals, including fertilisers and plastics, as well as industrial metals. The reconfiguration of transport routes and higher logistical costs could enhance pressures on production and distribution costs, which would subsequently pass through to final prices. These effects may fuel pressures on core inflation, *inter alia* through costs, expectations and wages. However, the intensity of the pass-through will depend on the resilience of demand and firms' capacity to partially absorb costs through lower margins.

For agri-food commodities, external risks are accompanied by climate risks, including severe droughts or heat waves. Apart from the direct impact on agricultural production, such developments may affect river transport and the activity of some industries that depend on normal water flows. As regards Romania, the decrease in the flow of the Danube River may lead to constraints on navigation and freight transport, with implications for logistical costs and regional trade flows, as well as for the operation of nuclear power plants and, implicitly, the production of sufficient electricity. Conversely, the favourable outlook for this year's crops, especially for cereals, could generate additional disinflationary effects.

Among external risks the possibility of a stagflationary episode ranks highest, with more persistent inflation and weaker economic activity. Geopolitical and energy tensions, trade protectionism and financial market volatility can put further pressure

87 There are illustrative assessments suggesting that, based on the information available at the moment, the liberalisation of the gas market would lead to an increase of around 24 percent in the prices for household consumers, with an estimated impact of around 0.65 percentage points on the annual CPI inflation rate.

on costs, real incomes and financing conditions. For Romania, the relevance of these risks is amplified by the still high level of inflation and the economic slowdown.

Over the medium term, additional price pressures may come from defence investments – as the SAFE programme is being implemented –, the green transition – including the possible introduction of the Emissions Trading System (ETS2) as of 2028 – and the digital transition – if tensions do persist in the semiconductor market.

On the domestic front, risks are heightened by political instability and the approaching deadline for completing the NRRP, i.e. 31 August 2026. The delays in fulfilling the milestones or implementing the reforms committed to could reduce the EU funds transfers, while the continuation of feasible projects from national sources could put additional upward pressure on the budget deficit. Uncertainties also continue to surround the future steps of fiscal consolidation, including the composition of possible new adjustment measures. At the same time, the deviations from the planned fiscal path could affect investor perception, sovereign ratings, the risk premium and the exchange rate.

Looking at the labour market, risks refer mainly to the magnitude of wage hikes in the public sector, in the context of the adoption of the new unitary wage law. In the private sector, price increases fuelled by the energy crisis could strengthen the employees' bargaining power and lead to possible wage claims. However, these pressures are partly alleviated by the demand deficit, slowing consumption and a gradual easing of the labour market. Over the medium term, inflationary pressures are seen to be associated with persistent mismatches between labour supply and demand in certain sectors.

Contrarywise, a more pronounced weakening in domestic or external demand, a faster normalisation of energy prices, more favourable agricultural crops or a stronger easing of the labour market could lead to lower inflationary pressures. However, these elements do not change the assessment of a balance of risks tilted to the upside.

Abbreviations

AI	artificial intelligence
CPI	consumer price index
DG ECFIN	Directorate General for Economic and Financial Affairs
EC	European Commission
ECB	European Central Bank
ETS2	Emissions Trading System 2
EU	European Union
Eurostat	Statistical Office of the European Union
FAO	Food and Agricultural Organization of the United Nations
Fed	Federal Reserve System
GDP	gross domestic product
GEO	Government Emergency Ordinance
GFCF	gross fixed capital formation
GVA	gross value added
HICP	Harmonised Index of Consumer Prices
ICT	Information and Communication Technology
ILO	International Labour Office
MF	Ministry of Finance
MFF	Multiannual Financial Framework
MFIs	monetary and financial institutions
NBR	National Bank of Romania
NIS	National Institute of Statistics
NRRP	National Recovery and Resilience Plan
OPEC	Organization of the Petroleum Exporting Countries
ROBOR	Romanian Interbank Offer Rate
VAT	value added tax
VFE	vegetables, fruit, eggs
3M	3 months
12M	12 months
3Y	3 years
5Y	5 years
10Y	10 years

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